Kalvorn Thermal Products, LLC

Confidential Information Memorandum

March 2026

Designer and manufacturer of industrial and agricultural heating equipment
Headquarters - State A (Midwestern United States)
Recipient copy K-14

Prepared by Ostrelle Partners, exclusive financial advisor to the members of Kalvorn Thermal Products, LLC

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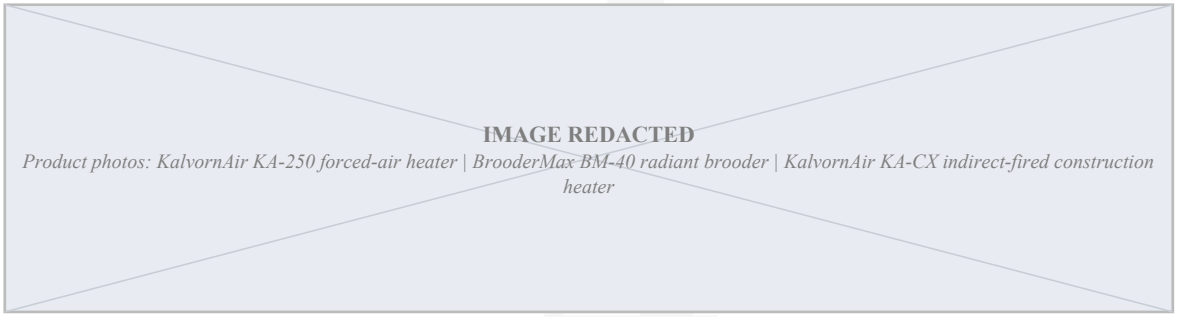
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1. Executive Summary

1.1 Company Overview

Kalvorn Thermal Products, LLC ("Kalvorn" or the "Company") is the leading North American designer and manufacturer of gas-fired heating equipment for livestock confinement buildings and one of the four largest suppliers of temporary heat to the construction and equipment-rental markets. Founded in 1987 and owned by the Marlbeck family, the Company has spent nearly four decades building a reputation for durable, fuel-efficient and safe heaters that are specified by name by the largest swine and poultry integrators in North America. Kalvorn designs, fabricates, assembles, test-fires and supports every unit it sells from a 165,000 square foot manufacturing plant and a 60,000 square foot distribution centre, both located in State A in the Midwestern United States, and employs approximately 210 people. The Company generated net sales of $42.6 million and Adjusted EBITDA of $7.9 million (18.5% margin) in the fiscal year ended September 30, 2025 and expects net sales of $46.0 million and Adjusted EBITDA of $8.7 million in fiscal 2026. Management's plan, described in Section 1.3, grows net sales to $58.8 million and Adjusted EBITDA to $11.8 million by fiscal 2030 without acquisitions.



Product photos: KalvornAir KA-250 forced-air heater | BrooderMax BM-40 radiant brooder | KalvornAir KA-CX indirect-fired construction heater

KalvornAir - swine and poultry market; BrooderMax - poultry market; KA-CX - construction market

Kalvorn's products sit at the centre of the modern protein supply chain. A newly weaned pig or a day-old broiler chick cannot regulate its own body temperature; for the first two to three weeks of life the animal depends entirely on the barn environment, and every degree of deviation from the recommended set point translates directly into slower weight gain, higher feed conversion ratios, greater mortality and lower grower income. A 20,000-bird broiler house heated with under-sized or poorly controlled equipment can lose two to four percentage points of final flock weight, an amount that exceeds the annual cost of the heating system many times over. Growers and the integrators that contract with them therefore treat heating equipment as a productivity investment rather than a commodity, and they buy from the supplier whose equipment they trust to run reliably through a Midwestern January. That supplier is Kalvorn more often than any other manufacturer.

> **Benefits of properly heated confinement buildings**
>
> Higher final weights and yields | Faster growth rates and shorter cycles | Sound structural and skeletal development | Consistent feed and water intake | Lower mortality and improved animal health | Higher grower profitability and integrator returns

International sales represented 13.3% of fiscal 2025 net sales and are the fastest-growing part of the business. Global consumption of pork and poultry has grown steadily for two decades, driven by population growth, rising incomes in developing economies and a sustained dietary shift toward white meat. Inter-governmental agricultural statistics indicate that global poultry production has compounded at approximately 2.9% per year and global pork production at approximately 1.4% per year over the past twenty years, and that the developing economies of Asia account for the large majority of the incremental volume.

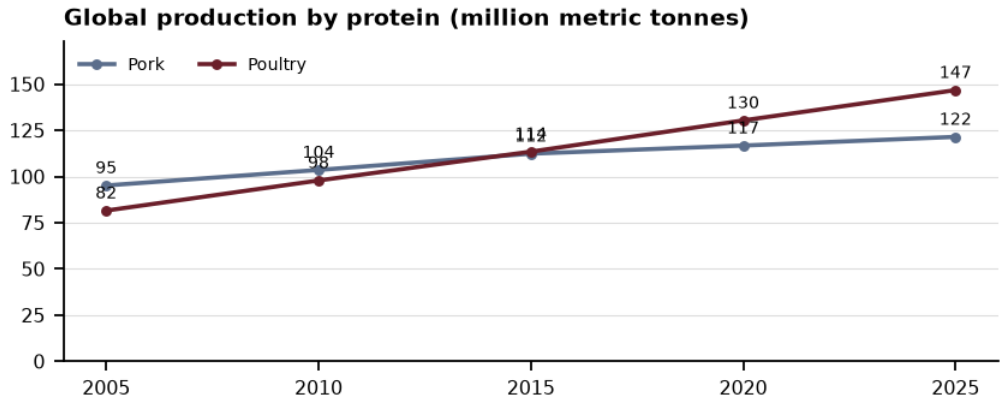


Exhibit 1: Global pork and poultry production, 2005-2025 (million metric tonnes, synthetic industry statistics)

The single largest opportunity is Country A, a large Asian economy that produces roughly two-fifths of the world's pork and is in the midst of a government-directed transition from small backyard farms to large, modern confinement operations. Country A's environmental authorities have also mandated the replacement of solid-fuel barn heating with certified gas-fired equipment in its principal livestock provinces, creating a market for precisely the product Kalvorn has manufactured for thirty years. Kalvorn entered Country A in 2016 through a single distributor, appointed a dedicated Country A sales manager in 2019, supported by two in-country staff engaged through a local service company, opened a third-party bonded warehouse in 2022 and registered a local-language brand in 2023. Two of the country's ten largest integrators now specify Kalvorn equipment for new swine and broiler construction. Country A net sales grew from $1.6 million in fiscal 2022 to $3.0 million in fiscal 2025 and are planned to reach $7.0 million by fiscal 2030.

Developed-market demand has its own drivers. Animal-welfare regulation and retailer commitments in North America and Europe are lowering stocking densities and increasing the floor area per animal, and organic and antibiotic-free programmes require warmer, more uniform environments to compensate for the loss of prophylactic medication. Each of these changes increases the number of heaters per building and favours radiant equipment that concentrates heat at animal level, a category Kalvorn pioneered in the poultry market with the BrooderMax line.

In the construction market, Kalvorn is the fourth-largest supplier of temporary heating equipment in North America with an estimated 4% share of a market management sizes at approximately $181.0 million. The Company serves the market through the two largest national equipment-rental chains, more than 400 independent rental yards and industrial distributors, and a network of 65 manufacturers' representatives. Construction and rental net sales were $7.2 million in fiscal 2025, a 6.3% compound annual growth rate since fiscal 2022, and management expects the new KA-CX indirect-fired product line to accelerate that growth. Kalvorn also sells tent heaters to the hospitality and event-rental market and greenhouse heaters to horticultural growers through the same representative network.

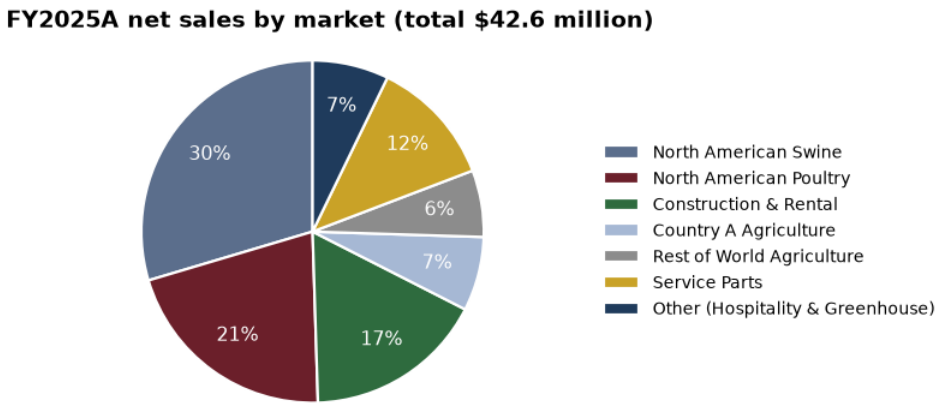


Exhibit 2: Fiscal 2025A net sales by market

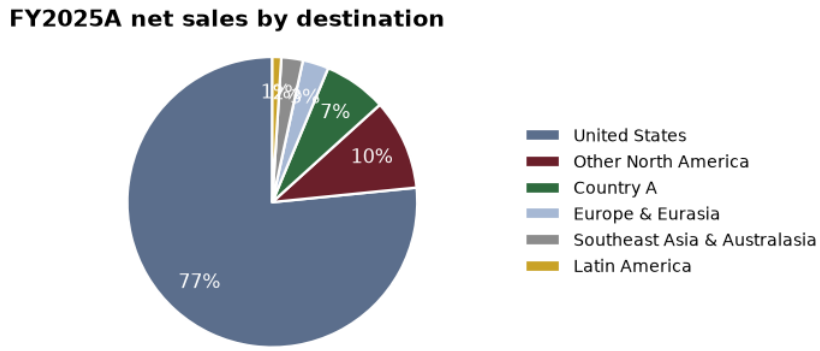


Exhibit 3: Fiscal 2025A net sales by geography

The business is seasonal. Growers, contractors and rental fleets buy ahead of the heating season, so approximately 60% of equipment net sales are recorded between October and March, the first two fiscal quarters, and the third fiscal quarter (April to June) is the smallest. Kalvorn manages the seasonality with a pre-season dealer programme that pulls orders into the summer, builds the high-volume lines to a stock plan from June, and finances the seasonal inventory and receivable build with a revolving line that is largely repaid by the end of December. Service parts, which are less seasonal, and the Southern Hemisphere and tropical markets, whose seasons are offset from North America's, moderate the pattern. Net working capital was 12.0% of net sales at the September 30, 2025 year-end and peaks roughly $1.0 to $1.5 million higher in October and November before pre-season receivables are collected in December; the seasonality is discussed further in Section 5.7 and in the quarterly detail in the Appendix.

Service parts are the Company's most profitable and most predictable revenue stream. Kalvorn has shipped an estimated 640,000 heaters since 1987, of which management estimates roughly 410,000 remain in service. Confinement heaters operate in a corrosive, dust-laden environment and are rebuilt every three to four years and replaced every eight to twelve years in swine barns and every ten to fourteen years in poultry houses; construction heaters are rebuilt annually by rental fleets. Genuine Kalvorn service parts generated $5.1 million of net sales in fiscal 2025 (12.0% of the total) at a gross margin above 50%, and have grown every year for the past eleven years. Management estimates that replacement and rebuild demand now represents more than half of the North American agricultural heating equipment market, which insulates the Company from the cyclicality of new barn construction.

Kalvorn employs the largest dedicated engineering team in its niche: fourteen engineers, technicians and designers with an average tenure of twelve years, supported by an in-house combustion laboratory accredited

to test to the relevant North American gas-appliance standards. The team's design philosophy favours modular platforms that can be adapted to a customer's fuel, voltage, output and mounting requirements without re-tooling, which is why the Company can offer more than 190 configurations across seven product families while carrying finished-goods inventory for fewer than 40 base models.

The Company goes to market through a combination of direct employees and channel partners. Eleven sales professionals, organised by geography and end market, manage relationships with approximately 310 agricultural dealers and confinement-building contractors, 22 poultry and swine integrators, the national rental chains and the representative network. The average tenure of the sales team is fourteen years, and the four regional agricultural managers have collectively attended more than 900 barn commissionings. International coverage is provided by a United States-based Country A sales manager with two in-country staff engaged through a local service company and by a separate manager responsible for Europe, Eurasia, Southeast Asia and Australasia who works through fourteen distributors.

Kalvorn's plant has received approximately $7.1 million of capital investment since fiscal 2020, including a fibre laser with automated sheet loading, two additional press brakes, a CNC punch, a roll former and an enterprise resource planning system that went live in fiscal 2024. The investments brought forming, machining, welding and powder coating fully in-house, reduced lead times on the core forced-air lines to under five days and left the plant operating at approximately 64% of demonstrated capacity on a two-shift basis, leaving ample headroom for the growth plan without further building expansion.

The Company is led by Thomas Marlbeck, Chief Executive Officer, who joined his father's business in 1987 and has led it since 1998, and by Gregory Marlbeck, President and Chief Operating Officer, who has run day-to-day operations since 2011. They are supported by a professional management team of six executives with an average of thirteen years at Kalvorn and prior experience at larger industrial manufacturers. Thomas Marlbeck intends to retire within two to three years of a transaction; Gregory Marlbeck and the remaining executives intend to continue in their roles and to invest alongside a new owner. The management team is described in Section 4.1.

Kalvorn's financial profile combines growth, margin and cash generation. Net sales have compounded at 6.5% per year since fiscal 2022, gross margin has been maintained in a narrow band around 34-35% through a period of volatile steel prices, Adjusted EBITDA margin has expanded from 17.8% to 18.5%, and capital expenditures have averaged 2.8% of net sales. More than 90% of Adjusted EBITDA has converted to cash after maintenance capital expenditures in each of the last four years. The growth plan rests on six organic levers - Country A penetration, developing Australasian and Southeast Asian markets, share gain in North American poultry, penetration of the construction market with the new indirect-fired line, growth of service parts with the installed base, and defence of the dominant swine position - and management believes complementary add-on acquisitions, which are not included in the projections, could add materially to the plan.

The chart below places the current plan in the context of the Company's long-term record. Net sales have grown in twenty-five of the last twenty-seven fiscal years, with declines limited to a single recession year and a single year of unusually mild winter weather.

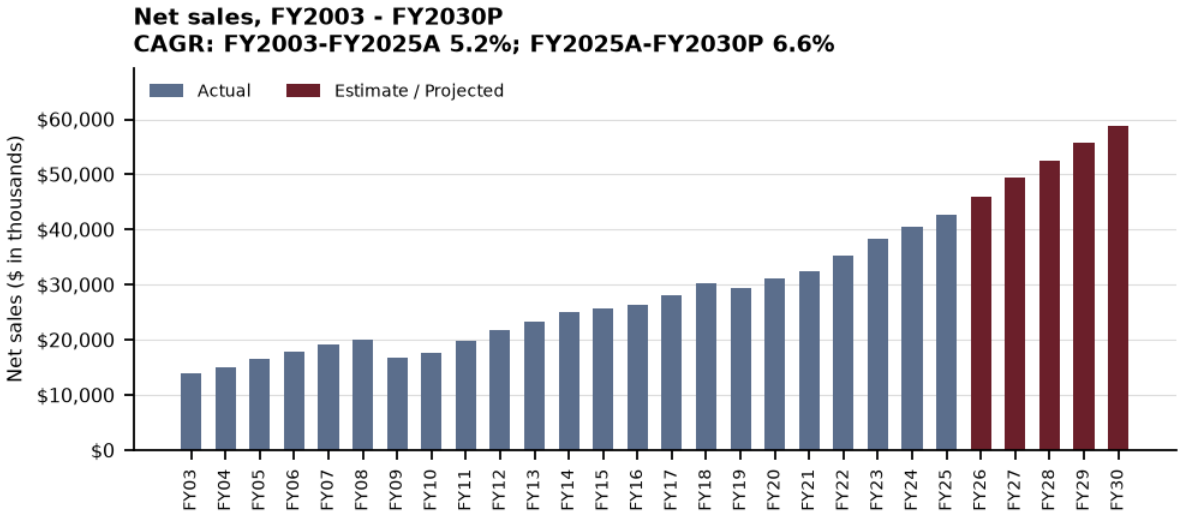


Exhibit 4: Net sales, fiscal 2003 - fiscal 2030P ($ in thousands)

$42.6M FY2025A net sales	**$7.9M** FY2025A Adjusted EBITDA	**18.5%** FY2025A Adjusted EBITDA margin	**6.6%** FY2025A-FY2030P net sales CAGR
~410,000 Heaters in service (est.)	**2,140** Active customers	**210** Employees	**39** Years in business

1.2 Investment Highlights

Ostrelle Partners believes Kalvorn offers a new owner a rare combination of market leadership, secular demand tailwinds, a high-margin aftermarket annuity and a deep management bench. The twelve investment highlights summarised below are developed in the paragraphs that follow.

> **Twelve reasons to invest in Kalvorn**
>
> 1. Market leader in North American swine and poultry heating | 2. Premium brand specified by name | 3. Compelling global protein trends | 4. Well-established global distribution | 5. Experienced sales and marketing organisation | 6. Market-leading design and engineering | 7. High-margin recurring service parts | 8. Service-focused culture | 9. Flexible, vertically integrated manufacturing | 10. Comprehensive product line and versatile designs | 11. Deep, experienced and empowered management | 12. Attractive financial characteristics

Highlight 1 - Market leader in its core agricultural segments

Management estimates that Kalvorn holds a 41% share of the North American swine heating market and a 22% share of the North American poultry heating market, the number one position in each, and a 4% share of the far larger North American temporary construction heating market, the number four position. In swine, the Company's share has been stable or rising for fifteen years; in poultry, share has grown from an estimated 13% in fiscal 2019 as the BrooderMax radiant line displaced older forced-air designs in broiler houses. Kalvorn's stated ambition is to become the global leader in confinement-building heating within ten years, and the Country A and Australasian initiatives described in Section 1.3 are the first steps toward that goal.

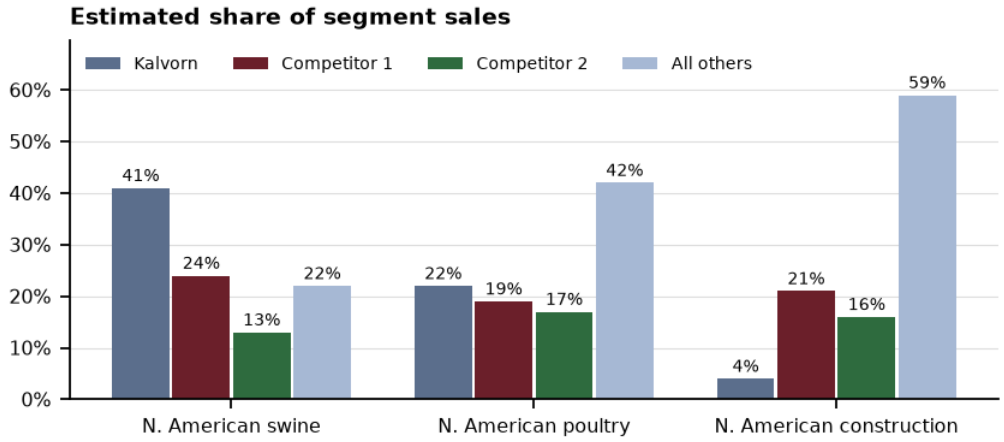


Exhibit 5: Estimated market share by segment, fiscal 2025 (management estimates)

Highlight 2 - Premium brand reputation

Growers and contractors describe confinement heaters generically as "Kalvorns" in the same way that rental-yard staff refer to any forced-air construction heater as a "KalvornAir". The brand is associated with three attributes that drive the purchase decision: reliability through a full winter without a service call, fuel efficiency (independent testing shows the BrooderMax BM-40 uses 18-22% less propane than the leading competing brooder at equivalent floor temperature), and safety certifications that integrators require before a product can be specified. Kalvorn prices its equipment at a premium of 8-15% to the nearest domestic competitor and has not lost a major integrator account on price in the last decade.

Highlight 3 - Compelling global market trends

Global meat consumption has grown at roughly 2% per year for twenty years, and the composition of that growth favours Kalvorn's products. Poultry, the most feed-efficient and least expensive protein, has grown fastest at approximately 2.9% per year; pork has grown at approximately 1.4%; beef has been broadly flat. Both pork and poultry are produced almost entirely in heated confinement buildings once an economy modernises its agriculture, whereas beef is not. Rising incomes in Asia, Africa and Latin America are expected to sustain these rates for at least another decade, and the shift toward confinement production in those regions means that heater demand should grow faster than production itself.

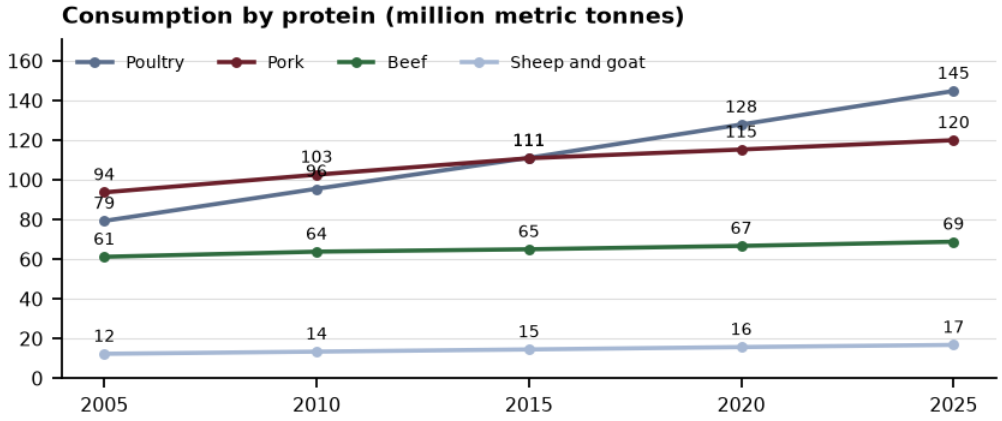


Exhibit 6: Global meat consumption by protein, 2005-2025 (million metric tonnes, synthetic industry statistics)

Beyond volume growth, four structural changes are increasing the number of heaters installed per animal produced: welfare-driven reductions in stocking density, the growth of antibiotic-free and organic programmes, the consolidation of developing-economy production into modern confinement facilities, and the government-mandated transition from solid-fuel to gas heating in Country A.

Increasing consumption and production	Growing heater usage per animal
Population growth of approximately 65 million people per year, concentrated in developing economies	Free-range, cage-free and lower-density welfare standards increase floor area and heaters per house
Rising middle-class incomes in Asia and Latin America shifting diets toward animal protein	Antibiotic-free and organic programmes require tighter environmental control
Poultry and pork gaining share from beef on cost and feed efficiency	Modernisation of backyard and open-sided production into confinement buildings
Export-oriented integrators expanding capacity in Country A, Southeast Asia and Eastern Europe	Solid-fuel-to-gas heating mandates in Country A and stricter emissions standards in Europe

Exhibit 7: Swine and poultry market trends supporting heater demand

The construction market is supported by a separate set of drivers. Industry research firms forecast United States residential construction put-in-place to grow at 3.5-4.5% per year and non-residential construction at 2.5-3.5% per year through 2030, driven by (1) a persistent housing shortfall of several million units, (2) re-shoring of manufacturing and the associated plant construction, (3) public infrastructure programmes and (4) a rising share of construction activity in the northern tier of North America, where heating seasons are long. Construction in the rest of North America is forecast to grow at 2-3% per year on (1) immigration-led housing demand, (2) energy and mining project restarts and (3) regional infrastructure spending. Temporary heat is required on virtually every northern job site between October and April, and rental chains replace their heater fleets on a four- to six-year cycle.

Highlight 4 - Well-established global distribution network

Kalvorn sells through approximately 310 agricultural dealers and confinement-building contractors across North America, 22 integrator accounts that specify equipment for their contract growers, the two largest national equipment-rental chains, more than 400 independent rental yards and industrial distributors, 65 manufacturers' representatives covering construction and hospitality, and fourteen international distributors across Europe, Eurasia, Southeast Asia and Australasia. Many dealer relationships date back to the 1990s, and the Company's top ten customers have an average relationship length of more than fifteen years. This network gives Kalvorn a route to market in every significant protein-producing region and a channel through which new products reach growers within a single selling season.

The network is also difficult to replicate. Agricultural dealers typically carry one heating brand, because stocking parts and training technicians for a second is uneconomic, and they change brands rarely; Kalvorn has lost fewer than five authorised dealers to competitors in the last ten years while adding more than forty. Integrator specifications, once won, tend to persist for the life of a house design, and rental chains standardise their fleets to simplify maintenance. The result is a distribution position that a new entrant would need many years and a superior product to displace, and that a strategic acquirer with complementary products could use to reach several thousand growers and contractors within a single selling season.

Highlight 5 - Experienced sales and marketing organisation

The eleven-person sales organisation is led by Lena Marchetti, Vice President of Sales and Marketing, and is structured around the way each market buys: four regional sales managers for North American agriculture, a national construction sales manager with a dedicated construction and tent regional manager who supervises the representative network, a United States-based Country A sales manager with two in-country staff and a manager for Europe, Eurasia and Australasia. The team's average tenure is fourteen years. Sales staff are expected to be technical resources rather than order takers: each regional manager runs dealer and contractor training clinics every autumn, supervises the layout and commissioning of large projects and is the first call when a grower has a problem. A four-person marketing team supports the salesforce with dealer programmes, trade-show presence at approximately twenty events per year, a bilingual technical website and an instructional video library.

Highlight 6 - Market-leading design and engineering capabilities

Priya Natarajan, Vice President of Engineering, leads a fourteen-person department of product engineers, research and development technicians, technical support specialists and CAD designers. The department owns the full product lifecycle from concept through certification, production release and field support, and it operates an in-house combustion laboratory equipped with flue-gas analysers, a thermal-imaging camera, a gas chromatograph and computational fluid dynamics software. Kalvorn has introduced ten new or substantially redesigned products since fiscal 2019 and holds two patents covering the BrooderMax high-pressure radiant burner and the KalvornRadiant mid-output emitter. The engineering group also reviews every large project layout and supports the salesforce on site, an integration of engineering and selling that competitors do not offer.

Highlight 7 - High-margin recurring service parts

Service parts generated $5.1 million of fiscal 2025 net sales, 12.0% of the total, at a gross margin of approximately 52%, and have grown at a 8.4% compound annual rate since fiscal 2022. Management estimates that Kalvorn captures roughly 70% of the replacement-part demand generated by its installed base, up from an estimated 55% before the genuine-parts programme was launched in fiscal 2018. The programme combines dealer stocking requirements, education on the warranty and liability consequences of substitute components, promotional kits and pricing that penalises partial substitution. The installed base of approximately 410,000 units and the three- to four-year rebuild cycle give the parts business a predictable annuity character that is largely independent of new-build activity.



Representative high-volume service parts

Highlight 8 - Service-focused culture

Kalvorn supports the customer through the entire sales cycle and the product's life. Before the sale, regional managers and engineers design the heater layout for a new barn, calculate output requirements and review gas-supply drawings. At installation, technical support specialists attend the commissioning of every integrator project and train the contractor's crews. In service, a six-person customer and technical service team answers dealer and grower calls within one business hour, ships stocked parts the same day and maintains a bilingual troubleshooting video library that recorded more than 1.1 million views last year. Customer surveys conducted by the Company in fiscal 2025 rated technical support as the single most important reason for repeat purchases, ahead of price and product features.

Highlight 9 - Flexible, vertically integrated manufacturing

The Company performs sheet-metal fabrication, machining, welding, powder coating and final assembly in-house, sources only commodity components and one liquid-fuel portable heater line from outside suppliers, and test-fires 100% of finished units. Five assembly lines - three dedicated to the high-volume forced-air, brooder and radiant-tube families and two flexible lines for construction, tent and specialty products - can be re-balanced within a shift, and the hourly workforce is cross-trained across at least two lines. Capital investment of approximately $7.1 million since fiscal 2020 has left the plant at 64% utilisation on two shifts, so the growth plan can be delivered without further building expansion. Vertical integration also protects margin: material represents roughly two-thirds of cost of goods sold, and the Company's engineers can redesign a part for manufacturability within weeks when steel or component prices move.

Highlight 10 - Comprehensive product line and versatile designs

Kalvorn offers forced-air, radiant brooder, radiant tube, convection and indirect-fired heaters in outputs from 40,000 to 400,000 Btu/h, with natural-gas, propane and dual-fuel options, direct-spark or hot-surface ignition, and 115-volt, 230-volt and 12-volt electrical configurations. No competitor offers all of these technologies from a single source, which allows Kalvorn to be the sole heating supplier on integrator projects and to sell across swine, poultry, construction, hospitality and greenhouse applications with common components. The breadth of the line is also a reason for the Company's low customer concentration: the ten largest customers accounted for 31.4% of fiscal 2025 net sales and no single customer exceeded 5.6%. The case study below illustrates how the engineering and product-line advantages combine.

Case study: the BrooderMax BM-LP low-pressure radiant brooder (demonstrated highlights: 6 and 10)

Background - Radiant brooders for broiler houses have historically operated at high gas pressures, which suits large United States integrators with dedicated propane infrastructure but excludes the many growers, particularly in the northern tier of North America, Europe and Country A, whose farms are served by low-pressure natural-gas networks. Situation - In 2021 the largest broiler integrator in the northern North American market asked Kalvorn to supply a brooder that could deliver the fuel efficiency of the patented BM-40 emitter at network pressure without an on-farm booster. Company solution - Kalvorn's engineers redesigned the burner and venturi to operate at 7 inches water column, retained the BM-40 reflector and emitter geometry, and certified the unit for natural gas and propane in North America and Europe within fourteen months. Result - The BM-LP launched in fiscal 2023, generated $2.4 million of net sales in fiscal 2025, opened an estimated $22 million low-pressure segment in which Kalvorn previously had no product, and is the specified brooder on the pending Integrator A project described in Section 1.3.

Highlight 11 - Deep, experienced and empowered management team

Kalvorn's eight senior executives average nearly nineteen years with the Company and 24 years in industrial manufacturing. The Marlbeck family has deliberately built a professional management layer beneath it since 2015: the Chief Financial Officer, Vice President of Engineering and Director of Supply Chain were all recruited from larger manufacturers, and each functional leader owns a budget and a set of operating metrics that are reviewed monthly. A clear succession plan is in place: Thomas Marlbeck will remain as Chief Executive Officer through a transition period of two to three years, after which Gregory Marlbeck, who already runs day-to-day operations, will assume the role. Management has expressed a strong desire to continue with the business and to invest alongside a new owner.

Name	Title	Age	Years with Kalvorn
Thomas Marlbeck	Chief Executive Officer	66	39
Gregory Marlbeck	President & Chief Operating Officer	58	31
Anne Marlbeck-Holt	Vice President, Finance & Administration	54	24
Daniel Okafor	Chief Financial Officer	49	7
Lena Marchetti	Vice President, Sales & Marketing	47	12
Rafael Tremonte	Vice President, Operations	52	16
Priya Natarajan	Vice President, Engineering	44	9
Mark Rennard	Director of Supply Chain	50	11

Exhibit 8: Senior management team

Highlight 12 - Attractive financial characteristics

Net sales have grown at a 6.5% compound annual rate since fiscal 2022 and at 7.0% over the last four years from the fiscal 2021 base, gross margin has held between 34.1% and 35.3%, and Adjusted EBITDA margin reached 19.6% in fiscal 2024 before a dip to 18.5% in fiscal 2025 as input-cost inflation ran ahead of the October price increase. Capital expenditures have averaged 2.8% of net sales and maintenance capital expenditures approximately 1.4%, so the business has converted more than 90% of Adjusted EBITDA to cash after maintenance capital expenditures in each of the last four years. Net working capital has been held at 12-13% of net sales despite the seasonal inventory build. Cumulative Adjusted EBITDA less capital expenditures since fiscal 2022 totals $24.7 million, all of which has been distributed to the members or reinvested in the plant.

1.3 Growth Strategy

Management's plan grows net sales from $42.6 million in fiscal 2025 to $58.8 million in fiscal 2030, a 6.6% compound annual rate, and Adjusted EBITDA from $7.9 million to $11.8 million, an 8.4% rate, as operating leverage lifts the margin to 20.0%. The plan is built bottom-up from six organic levers that management controls and has already begun to execute; it contains no acquisitions, no new product families beyond those already launched or in certification, and no price increases beyond the pass-through of input costs. The bridge below allocates the $16.1 million of planned growth to its sources.

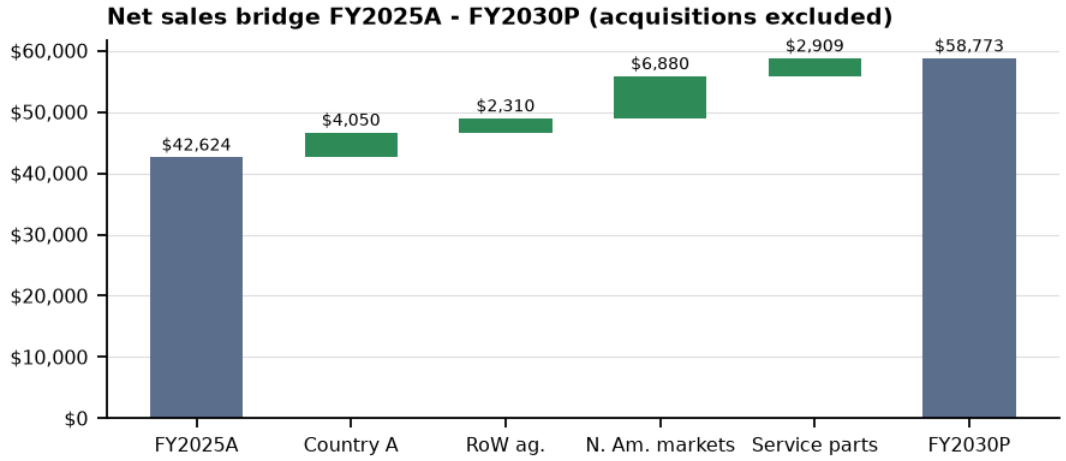


Exhibit 9: Growth plan bridge, fiscal 2025A to fiscal 2030P net sales ($ in thousands)

The table below summarises the six levers, the initiatives that support each and management's estimate of the range of incremental fiscal 2030 net sales attributable to each; the plan case sits within each range, and the ranges are not additive at their extremes. The four North American lines - poultry, construction, swine and other markets - together make up the $6,880 thousand North American bar of the bridge. The plan deliberately lets the small hospitality and greenhouse category decline from $3.1 million to approximately $2.1 million: the greenhouse heater line is wound down from fiscal 2027 as its principal horticultural-distributor agreement expires, and tent-heater volume is planned flat, because management prefers to direct plant capacity and selling effort to the five core levers.

Lever	Principal initiatives	Low	High	Plan case
1. Country A penetration	Integrator projects, solid-fuel conversion, local brand	$3,400	$4,700	$4,050
2. Australasian and Southeast Asian markets	Distributor expansion, BM-LP, local brand-building	1,800	2,800	2,310
3. North American poultry share gain	Integrator specifications, BM-LP, RT-80, Integrator A programme	3,900	5,400	4,150
4. Construction market penetration	KA-CX family, representative upgrades, national accounts	2,900	4,100	3,000
5. Service parts growth	Capture rate 70% to 78%, rebuild kits, certified-technician programme	2,400	3,300	2,909
6. Defend swine position	KA-250 redesign, dual-fuel, dealer training; market growth only	400	1,000	730
Other markets (hospitality, greenhouse)	No dedicated investment; greenhouse line wound down from fiscal 2027 as its principal horticultural-distributor agreement expires	(1,400)	(600)	(1,000)
Total incremental net sales, FY2025A to FY2030P		**13,400**	**20,700**	**$16,149**

Exhibit 10: Growth levers and estimated incremental fiscal 2030P net sales ($ in thousands)

Lever 1 - Continued penetration of the Country A protein market

Country A produces approximately 38% of the world's pork and 13% of its poultry, and its national agricultural modernisation plan has set explicit targets to move production from millions of smallholder operations into large-scale confinement facilities by the end of the decade. Regional authorities in the principal livestock provinces have progressively banned solid-fuel barn heating and subsidise conversion to gas. Kalvorn's investment in the market - a dedicated United States-based sales manager who spends a third of the year in-country, a national sales representative and a technical sales engineer engaged through a local service company, reverse-flow ocean freight that lands product at a cost competitive with local manufacturers, a bonded third-party warehouse and a registered local-language brand whose characters translate loosely as "warm nest" - has produced two anchor integrator customers and a pipeline of 31 identified projects. Country A net sales of $3.0 million in fiscal 2025 are planned to reach $7.0 million in fiscal 2030, which would still represent less than 6% of the addressable Country A market.

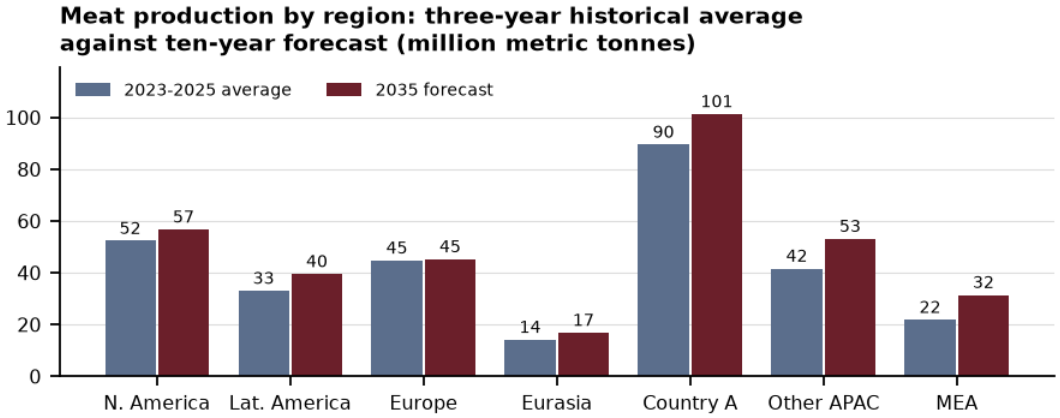


Exhibit 11: Historical average (2023-2025) and forecast (2035F) meat production by region (million metric tonnes; APAC excludes Country A; MEA is Middle East and Africa; synthetic industry statistics)

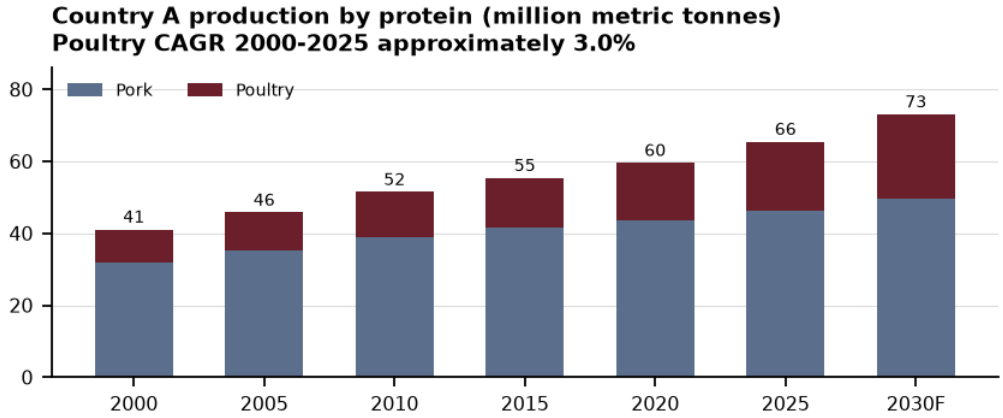


Exhibit 12: Country A pork and poultry production, 2000-2030F (million metric tonnes, synthetic industry statistics)

Lever 2 - Develop the Australasian and Southeast Asian markets

Kalvorn appointed distributors in one Australasian country in 2017 and in two Southeast Asian countries in 2019 and 2021, and has since become the dominant brooder supplier to the largest broiler integrator in one of those Southeast Asian markets. Poultry production in Southeast Asia is growing at approximately 4% per year, faster than any other region, and new houses are increasingly built to North American designs that specify radiant brooders. Rest-of-world agricultural net sales (which include Europe, Eurasia, Latin America and Australasia) were $2.7 million in fiscal 2025 and are planned to reach $5.0 million in fiscal 2030 through distributor expansion, local brand-building and the low-pressure BrooderMax line.

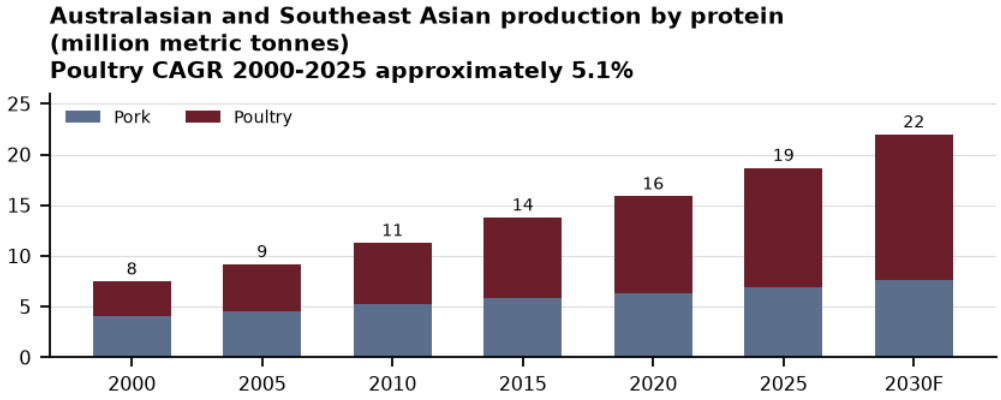


Exhibit 13: Australasian and Southeast Asian swine and poultry production, 2000-2030F (million metric tonnes, synthetic)

Lever 3 - Expand share in North American poultry

Kalvorn's share of the North American poultry heating market has grown from an estimated 13% in fiscal 2019 to 22% in fiscal 2025 as the BrooderMax line, the KalvornRadiant RT-80 poultry tube heater and the BM-LP low-pressure brooder replaced older forced-air designs in new broiler construction. Poultry integrators decide which equipment their contract growers install, so share is won one integrator specification at a time; Kalvorn is now specified by nine of the twenty largest North American integrators and is in trials with four more. The BM-LP opened a low-pressure segment that management sizes at approximately $22 million, and the pending Integrator A programme described in the case study below would be the largest single poultry project in the Company's history. Management targets a 30% poultry share by fiscal 2030, which would lift North American poultry net sales from $8.9 million to approximately $13.1 million, the $4,150 thousand plan case shown in the lever table.

Case study: Integrator A (demonstrated highlights: 2, 5 and 8)

Situation - Integrator A, one of the five largest broiler producers in the United States, announced a multi-year build-out of approximately 480 new broiler houses in two southern states in fiscal 2024 and invited three heating suppliers to compete for the specification. Company solution - Kalvorn's regional manager and two engineers designed a layout combining BM-LP brooders and RT-80 tube heaters, installed a pilot in four houses at Kalvorn's cost, and used the in-house laboratory's thermal-imaging data to demonstrate a floor-temperature uniformity advantage of more than 3 degrees Fahrenheit against the incumbent. Result - After two flocks the pilot houses recorded lower seven-day mortality and lower propane use per bird; Integrator A named Kalvorn sole specified heating supplier for the programme in fiscal 2025. First deliveries began in the second quarter of fiscal 2026 and the programme is expected to contribute approximately $1.6 million of net sales per year at full run-rate.

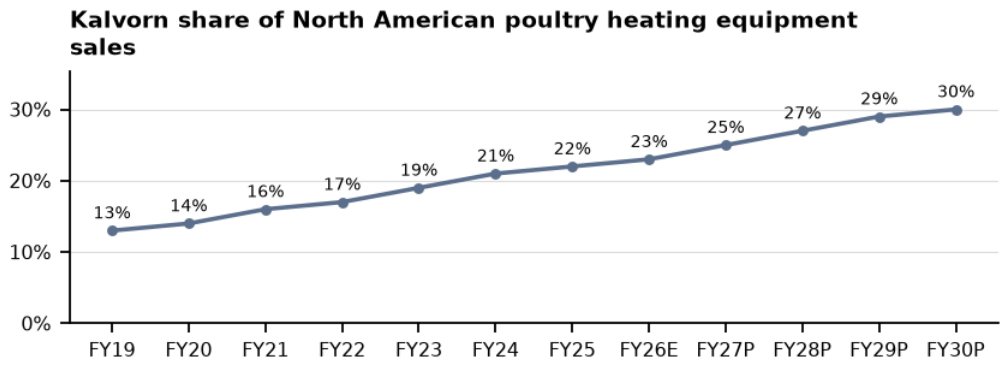


Exhibit 14: Estimated North American poultry heating market share, fiscal 2019 - fiscal 2030P

Lever 4 - Penetrate the North American construction market

Kalvorn has a strong reputation for durability in the construction and rental channel but has historically under-invested in it relative to agriculture. Since fiscal 2022 the Company has appointed a national construction sales manager, upgraded 23 of its 65 representative agencies, added the two largest national rental chains as direct accounts and launched the KA-CX indirect-fired heater, a product that addresses the roughly 30% of temporary-heat applications, such as enclosed residential interiors, healthcare projects and food-plant construction, where direct-fired combustion by-products are not permitted. Construction and rental net sales grew from $6.0 million in fiscal 2022 to $7.2 million in fiscal 2025, a 6.3% compound annual rate. The KA-CX generated $1.1 million of net sales in its first full year, and a larger 400,000 Btu/h model and a smaller 80,000 Btu/h model are in certification. Management plans construction and rental net sales of approximately $10.2 million by fiscal 2030 (the $3,000 thousand plan case in the lever table), which would still represent only about 6% of the addressable market.

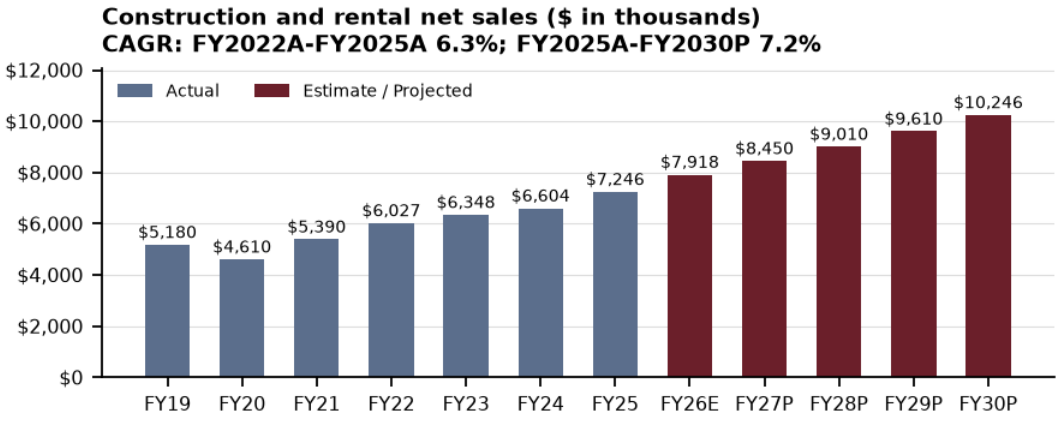


Exhibit 15: North American construction and rental net sales, fiscal 2019 - fiscal 2030P ($ in thousands)

Lever 5 - Grow service parts with the installed base

Service parts grow with the installed base, with the capture rate of genuine parts and with the number of pre-packaged rebuild kits that dealers stock. Management plans to raise the capture rate from approximately 70% to 78% by fiscal 2030 through three initiatives: extending the dealer genuine-parts programme to the construction and rental channel, where capture is estimated at only 45%; introducing bar-coded rebuild kits for the ten highest-volume models so that a grower or rental technician can order a complete rebuild with a single part number; and a "Kalvorn Certified" service-technician programme that trains dealer staff and directs grower calls to certified dealers. Service parts net sales of $5.1 million in fiscal 2025 are planned to reach $8.0 million in fiscal 2030 at a gross margin above 50%, contributing $2.9 million of the plan's growth and a disproportionate share of its margin expansion.

Lever 6 - Maintain and strengthen the dominant swine position

North American swine heating is Kalvorn's largest and most mature market: net sales of $12.6 million in fiscal 2025, an estimated 41% share, and relationships with dealers and contractors that span three generations of hog farmers. The market grows at approximately 2% per year with pork production and with the renovation cycle of a barn stock that averages more than twenty years old. Management's plan holds swine share flat and grows swine net sales in line with the market through the KA-250 redesign launched in fiscal 2025, the dual-fuel option now standard on all forced-air models, and continued dealer training. The Company regards this market as the base that funds the growth initiatives and manages it for margin and cash rather than for share gain.

Acquisitions - upside not included in the plan

Management has identified eleven potential add-on acquisitions in three categories: complementary product lines (ventilation controls, evaporative cooling and feed-line heating) that would be sold through the existing dealer network; regional heater manufacturers in Europe and Australasia that would provide local manufacturing in tariffed or regulated geographies; and specialist construction-heat manufacturers with rental-chain relationships. None of these opportunities is included in the projections. Kalvorn has integrated one acquisition in its history, a radiant-tube manufacturer acquired in 2012, and divested two non-core sister businesses in 2018 and 2021, so the management team has direct experience of both sides of a transaction.

1.4 Financial Summary

The summary income statements below are derived from the Company's internally prepared statements for fiscal 2022 to 2024, from the fiscal 2025 statements as reviewed by Audit Firm A and from management's fiscal 2026 estimate (five months of actuals through February 28, 2026 and seven months of forecast). Adjusted figures exclude the addbacks described in Section 5.5; amounts are in thousands of United States dollars unless otherwise stated. Detailed financial information is presented in Section 5 and quarterly detail in the Appendix.

($ in thousands, fiscal years ended September 30)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	CAGR '22-'26E
Net sales	**$35,245**	**$38,240**	**$40,516**	**$42,624**	**$46,034**	**6.9%**
Cost of goods sold	23,240	25,026	26,224	28,098	29,922	6.5%
Gross profit	12,005	13,214	14,292	14,526	16,112	7.6%
Adjusted operating expenses, excluding D&A (1)	5,718	6,253	6,369	6,657	7,365	6.5%
Adjusted EBIT (2)	5,311	5,946	6,819	6,716	7,504	9.0%
Depreciation and amortization	976	1,015	1,104	1,153	1,243	
Adjusted EBITDA	**$6,287**	**$6,961**	**$7,923**	**$7,869**	**$8,746**	**8.6%**
Capital expenditures	1,058	1,032	1,116	1,175	1,289	
Net working capital (year-end)	4,535	5,102	5,053	5,128	5,668	
Operating ratios						
Net sales growth		8.5%	5.9%	5.2%	8.0%	
Gross profit margin	34.1%	34.6%	35.3%	34.1%	35.0%	
Adjusted operating expenses % of net sales	16.2%	16.4%	15.7%	15.6%	16.0%	
Adjusted EBIT margin	15.1%	15.5%	16.8%	15.8%	16.3%	
Adjusted EBITDA margin	17.8%	18.2%	19.6%	18.5%	19.0%	
Capital expenditures % of net sales	3.0%	2.7%	2.8%	2.8%	2.8%	

Exhibit 16: Summary income statements, fiscal 2022A - fiscal 2026E

Note: (1) Adjusted operating expenses exclude owner compensation in excess of market, one-time ERP implementation costs, a non-recurring legal settlement, sale-process expenses, discontinued-line costs and a related-party rent normalisation, as described in Section 5.5. (2) Adjusted EBIT is Adjusted EBITDA less depreciation and amortisation and excludes amortisation of financing and transaction costs. Fiscal 2026E comprises five months of actuals and seven months of forecast.

Management's projections for fiscal 2027 through fiscal 2030 are summarised in the table below and discussed in Section 5.1. The projections assume net sales growth decelerating from 8.0% in fiscal 2026 to 5.5% in fiscal 2030, gross margin expanding by approximately 60 basis points as service parts and radiant products grow faster than the mix, and Adjusted operating expenses declining modestly as a percentage of net sales.

($ in millions)	FY2026E	FY2027P	FY2028P	FY2029P	FY2030P
Net sales	$46.0	$49.3	$52.6	$55.7	$58.8
Growth	*8.0%*	*7.2%*	*6.5%*	*6.0%*	*5.5%*
Cost of goods sold	29.9	32.0	34.0	35.9	37.9
Gross profit	16.1	17.4	18.6	19.8	20.9
Gross margin	*35.0%*	*35.2%*	*35.4%*	*35.5%*	*35.6%*
Adjusted operating expenses	7.4	7.8	8.3	8.7	9.2
Adjusted EBITDA	**$8.7**	**$9.5**	**$10.3**	**$11.0**	**$11.8**
Adjusted EBITDA margin	*19.0%*	*19.3%*	*19.6%*	*19.8%*	*20.0%*
Depreciation and amortization	1.2	1.3	1.4	1.5	1.6
Adjusted EBIT (Adjusted EBITDA less depreciation)	7.5	8.2	8.9	9.5	10.2
Capital expenditures	1.3	1.4	1.5	1.6	1.6
Net working capital (year-end)	5.7	6.0	6.5	6.9	7.3
Adjusted EBITDA less capital expenditures	7.5	8.1	8.8	9.5	10.1

Exhibit 17: Management projections, fiscal 2026E - fiscal 2030P ($ in millions)

1.5 Transaction Overview

Kalvorn Thermal Products, LLC is a limited liability company organised under the laws of State A and taxed as a partnership. Its membership interests are held by three members of the Marlbeck family: Thomas Marlbeck (55%), Gregory Marlbeck (30%) and Anne Marlbeck-Holt (15%). The members have engaged Ostrelle Partners as exclusive financial advisor to conduct a sale of 100% of the membership interests of the Company. The manufacturing plant and distribution centre are owned by a separate family entity and leased to the Company under a long-term lease at a market rent of $1.14 million per year; the real estate is not included in the transaction, although the members would consider a sale of the properties to a buyer who prefers to own them.

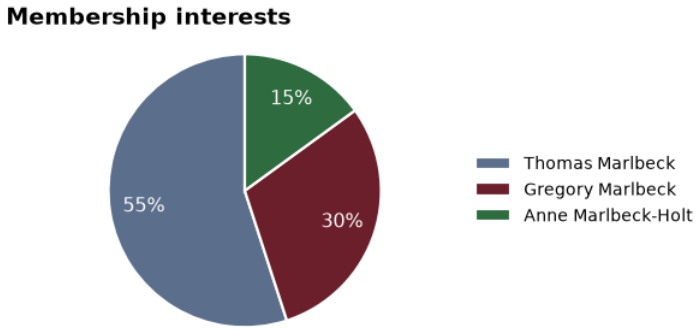


Exhibit 18: Company ownership

The transaction is driven by succession. Thomas Marlbeck, aged 66, wishes to retire within two to three years and to provide liquidity to the family, while Gregory Marlbeck and the non-family executives wish to continue leading the business through its next phase of growth. Management has indicated that it would welcome the opportunity to reinvest a meaningful portion of its proceeds alongside a new owner and expects any transaction to include a management equity incentive programme. The members are open to a range of buyers, including strategic acquirers and financial sponsors, and will weigh the certainty and speed of a transaction, the buyer's plans for the workforce and the plant, and the treatment of management alongside price.

The transaction is proposed on a cash-free, debt-free basis with a normalised level of net working capital. The Company's funded debt consisted of a term loan and a seasonal revolving line with an aggregate balance of $6.8 million at December 31, 2025, all of which will be repaid at closing. The Company's financial statements are reviewed by Audit Firm A, which has also been engaged to prepare a quality of earnings report that will be made available to qualified parties in the second round of the process, and the Company is represented by Law Firm A.

Process and timetable

Ostrelle Partners is conducting a two-round process. Interested parties are invited to submit a non-binding indication of interest by 5:00 p.m. State A local time on April 24, 2026. A limited number of parties will then be invited to attend a management presentation and plant tour, to receive access to an electronic data room containing the quality of earnings report, detailed financial information, customer and supplier data, contracts and legal materials, and to submit a final, binding proposal together with a marked purchase agreement. The members intend to execute a definitive agreement in the third quarter of calendar 2026 and to close the transaction promptly thereafter, subject to customary regulatory clearances.

Milestone	Timing
Distribution of this memorandum	March 2026
Indications of interest due	April 24, 2026
Second-round invitations and data-room access	Early May 2026
Management presentations and plant tours	May 11 - May 29, 2026
Draft purchase agreement distributed	June 5, 2026
Final binding proposals due	June 26, 2026
Selection of preferred party; confirmatory diligence	July 2026
Execution of definitive agreement	July - August 2026
Closing	Third quarter of calendar 2026

Exhibit 19: Indicative process timetable

Indication of interest requirements

Indications of interest should be addressed to Michael Aldringham and Sarah Okonjo-Bell at Ostrelle Partners and should include the following, which will determine which parties advance to the second round:

- Purchase price for 100% of the membership interests, expressed as a range on a cash-free, debt-free basis, together with the key assumptions underlying the valuation and the treatment of net working capital.
- Form of consideration and the proposed sources of financing, including the amount of equity to be invested and the status of any debt financing discussions.
- The proposed treatment of management, including any rollover or reinvestment expectations and the outline of a management equity incentive programme.
- Plans for the business, the workforce and the State A facilities, including any intention to relocate manufacturing.
- Confirmatory due diligence requirements, expected timing to a definitive agreement and any internal or external approvals required.
- For strategic parties, an assessment of regulatory considerations; for financial sponsors, a description of the fund, its remaining commitments and relevant portfolio experience.

Ostrelle Partners and the Company reserve the right to modify or terminate the process at any time, to negotiate with any party on any terms and to reject any proposal without stating a reason; the Important Notice and the confidentiality agreement apply throughout.

2. Industry

2.1 Industry Overview

Kalvorn competes in the market for gas-fired space heating equipment used in two broad applications: the heating of livestock confinement buildings, principally swine barns and broiler houses, and the temporary heating of construction sites, event tents and greenhouses. Management estimates the accessible market for new agricultural heating equipment and service parts in the regions the Company serves at approximately $252.1 million per year, of which $72.6 million is in North America, and the North American temporary construction heating market at approximately $181.0 million. The industry uses a small number of heater concepts, defined in the table below, that differ in how heat is delivered and in whether combustion products enter the heated space.

Term	Definition
Forced-air heater	A gas burner heats air that a blower distributes through the building. The workhorse of swine barns and construction sites; low cost per Btu, rapid warm-up, uniform air temperature.
Radiant brooder	A gas burner heats a ceramic or steel emitter that radiates infrared energy downward. Warms the floor and the animals directly rather than the air, which suits day-old chicks and allows lower air temperatures and lower fuel use.
Radiant tube heater	A burner fires into a long steel tube with a reflector above it; the tube radiates along its length. Used in poultry houses, swine finishing barns and workshops where a wide, even radiant pattern is required.
Convection heater	A gas burner heats a chamber and warm air rises naturally without a blower. Simple and quiet; used in nurseries, greenhouses and small buildings.
Direct-fired	Combustion products are released into the heated space. Nearly 100% fuel efficient and inexpensive, but requires ventilation and is not permitted where people work in enclosed spaces or where moisture and carbon dioxide are undesirable.
Indirect-fired	Combustion takes place in a sealed heat exchanger and flue gases are vented outside; only clean, dry heated air enters the space. Required for occupied interiors, healthcare and food-plant construction and moisture-sensitive applications.

Exhibit 20: Heater concepts

Heating is fundamental to modern livestock production because young animals cannot maintain body temperature. A weaned pig at 12 pounds requires an environment of approximately 85 degrees Fahrenheit and a day-old chick approximately 90 degrees at floor level; the required temperature then falls in a scheduled curve as the animal grows. Below the recommended set point the animal diverts feed energy to staying warm rather than to growth, drinks less, huddles and becomes susceptible to respiratory and enteric disease. Above it the animal eats less. Because feed represents 60-70% of the cost of producing a pig or a broiler, the return on a heating system that holds temperature within a degree or two of the set point is measured in weeks rather than years.

IMAGE REDACTED
Interior of a swine finishing barn heated with KalvornAir forced-air units

Swine finishing barn, State A

Grower profitability is tightly linked to thermal management. University extension trials cited in the Company's marketing materials show that broilers brooded at the recommended floor temperature reach target weight one to two days earlier than birds brooded four degrees cooler, with measurably lower seven-day mortality and better feed conversion. In swine, nursery pigs held at set point gain weight roughly

8% faster than pigs held five degrees below it. Integrators translate these effects directly into grower pay, which is typically based on feed conversion and livability relative to the other growers settling in the same week, so growers have a strong incentive to install and maintain effective heating.

Body weight	Recommended temperature (F)
12-30 lb (nursery)	85 - 78
30-75 lb (grower)	75 - 68
75-150 lb (finisher)	68 - 62
150-250 lb (finisher)	62 - 58
Sows in gestation	60 - 65
Farrowing (creep area)	90 - 95

Exhibit 21: Recommended set-point temperatures for swine (industry consultancy guidance)

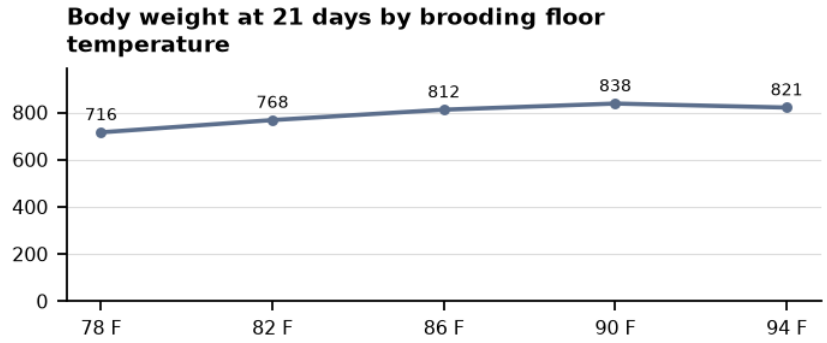


Exhibit 22: Effect of brooding temperature on broiler body weight at 21 days (academic source, synthetic)

Ethical and organic production trends increase heater demand. Retailer and regulatory welfare standards in North America and Europe are reducing stocking densities - a broiler house that formerly held 7.5 pounds of live weight per square foot is increasingly built to hold 6.0 - which means more floor area, more houses and more heaters per pound of meat produced. Antibiotic-free and organic programmes, which represent an estimated 48% of North American broiler production, rely on precise brooding to prevent the disease challenges that medication formerly controlled, and they favour radiant equipment that keeps the litter dry. Kalvorn's radiant brooder and tube heater lines are direct beneficiaries of both trends.

Construction heating serves a different need. Concrete cannot cure, drywall compound and paint cannot dry, and trades cannot work productively below approximately 50 degrees Fahrenheit, so contractors in northern climates rent or buy temporary heaters for roughly six months of the year. The equipment is used in harsh environments, moved from site to site and operated by untrained personnel, so durability and simplicity of service are the primary purchase criteria and rental chains replace their fleets every four to six years. Demand is seasonal and correlated with construction activity and with the severity of the winter, and the rental channel accounts for an estimated 65% of unit volume. Management sizes the North American served market at approximately $181.0 million per year including parts.

Two smaller markets complete the picture. Event-rental companies heat wedding, festival and corporate tents from October to April and require indirect-fired units that are quiet, odour-free and safe for occupied spaces; the North American tent-heating market is estimated at $35 to $40 million per year and is served by a handful of rental-equipment manufacturers. Greenhouse growers use forced-air and convection heaters with corrosion-resistant finishes to protect crops in early spring and late autumn; the market is fragmented, seasonal and served through horticultural-supply distributors. Kalvorn participates in both through its representative network without dedicated sales resources, and management regards them as sources of incremental volume for the plant rather than as strategic growth markets.

2.2 End Markets

Demand for Kalvorn's agricultural products is best proxied by pork and poultry production in the regions it serves, and demand for its construction products by residential and non-residential construction put-in-place in North America. Each is discussed below.

Swine and poultry

Global meat consumption is driven by population growth, rising incomes and dietary change. The world's population grows by roughly 65 million people per year, and the middle class in developing economies is expanding by an estimated 120 million people per year (synthetic industry statistics). As incomes rise, households shift from grain-based diets to animal protein, and within animal protein they favour poultry and pork, which are cheaper to produce than beef and carry fewer cultural restrictions. Global poultry consumption has grown at approximately 2.9% per year over the past twenty years and pork at approximately 1.4%; industry forecasts call for growth of roughly 2.0% and 1.0% per year respectively over the next decade, with nearly all of the increment in Asia, Africa and Latin America. Meat prices have risen in nominal terms over the same period, which supports the capital budgets of producers.

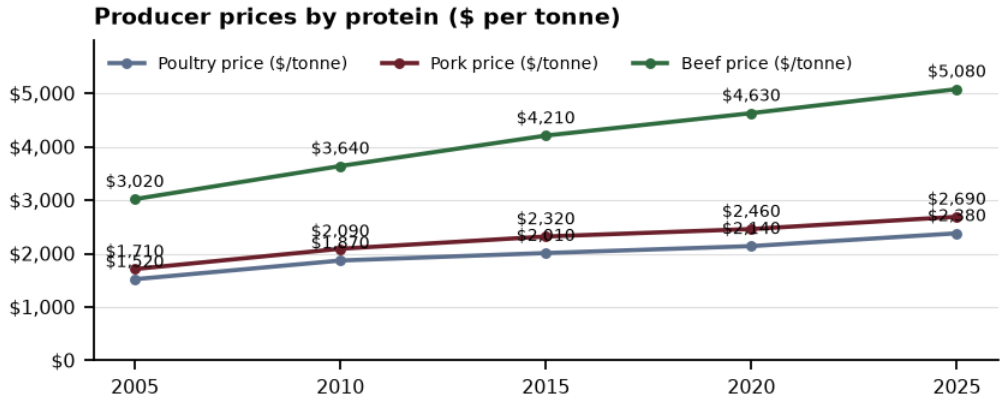


Exhibit 23: Global consumption and price trends by protein, 2005-2025 (synthetic industry statistics)

Swine production

Global pork production has grown at approximately 1.4% per year since 2005 and is forecast to grow at roughly 1.0% per year to 2035, with per-capita consumption highly correlated with income in the middle-income economies of Asia and Eastern Europe. Production is concentrated: Country A produces approximately 38% of the world's pork, Europe 21%, North America 14% and Latin America 9% (synthetic industry statistics). The industry has consolidated steadily into larger, more capital-intensive operations - the number of North American hog farms has fallen by roughly 40% in twenty years while production has risen - and each round of consolidation replaces open-sided or naturally ventilated buildings with environmentally controlled confinement barns that require mechanical heating.

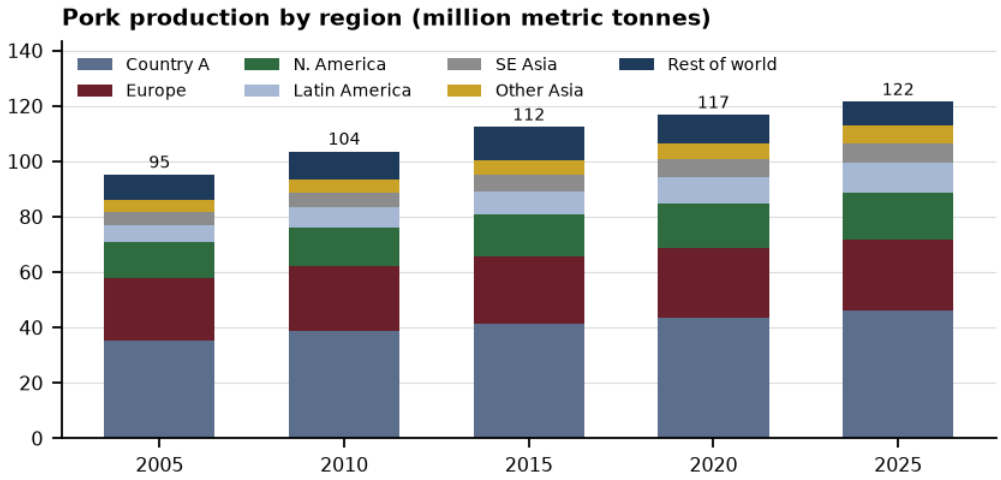


Exhibit 24: Swine production by geography, 2005-2025 (million metric tonnes, synthetic)

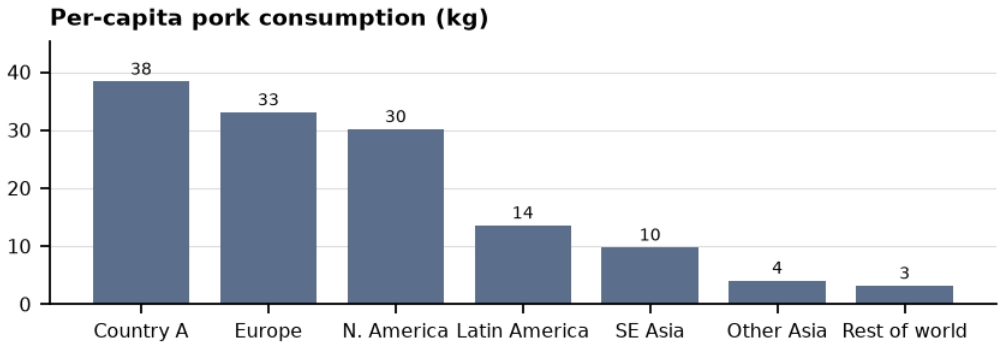


Exhibit 25: Per-capita pork consumption by geography, 2025 (kg per person, synthetic)

Country A is the decisive market. Its national agricultural modernisation plan targets the migration of production from an estimated 14 million smallholder operations into large-scale farms, and the top ten integrators have announced expansion projects totalling more than 45 million head of annual capacity, much of it in northern provinces with cold winters. A herd-health event in the middle of the last decade prompted the authorities to tie rebuilding subsidies to biosecure confinement production, so the national herd has since been rebuilt largely in modern facilities. The government's barn-emissions programme is phasing out solid-fuel heating in livestock buildings in the principal producing provinces and subsidises conversion to natural gas and propane, which favours certified gas-fired equipment of the type Kalvorn manufactures. Industry forecasts call for Country A pork production to grow approximately 1.2% per year to 2030, but the heating equipment market is expected to grow several times faster as backyard production is replaced.

Poultry production

North American pork production of approximately 15 million tonnes has grown at 1.5-2.0% per year and is expected to continue at that rate, supported by export demand. Global poultry production has grown at approximately 2.9% per year since 2005 and is forecast to grow at roughly 2.0% per year to 2035. Poultry is the world's cheapest meat, has the best feed conversion, faces the fewest religious restrictions and requires the least land, so it captures a disproportionate share of incremental protein demand in developing economies. Broilers are produced in heated houses in every climate because chicks must be brooded at approximately 90 degrees Fahrenheit regardless of the outdoor temperature, which makes poultry a less seasonal and more global market for heating equipment than swine.

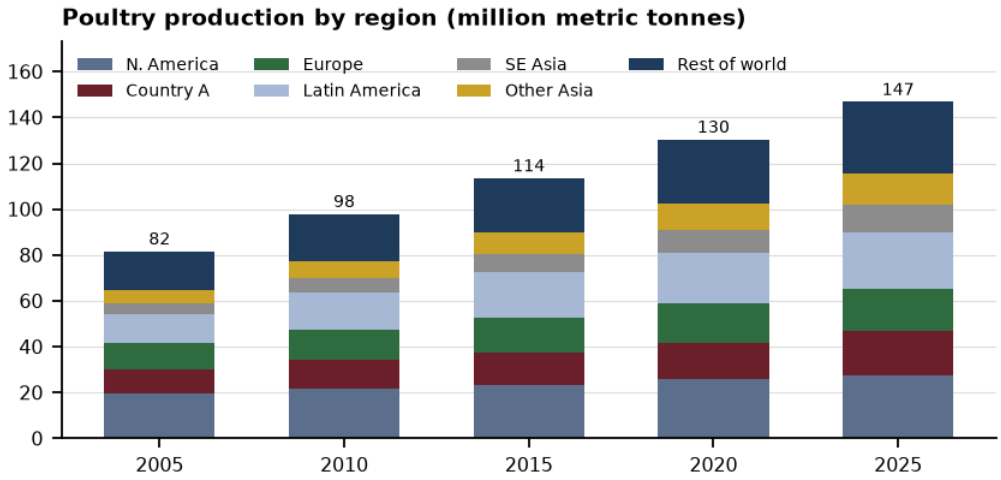


Exhibit 26: Poultry production by geography, 2005-2025 (million metric tonnes, synthetic)

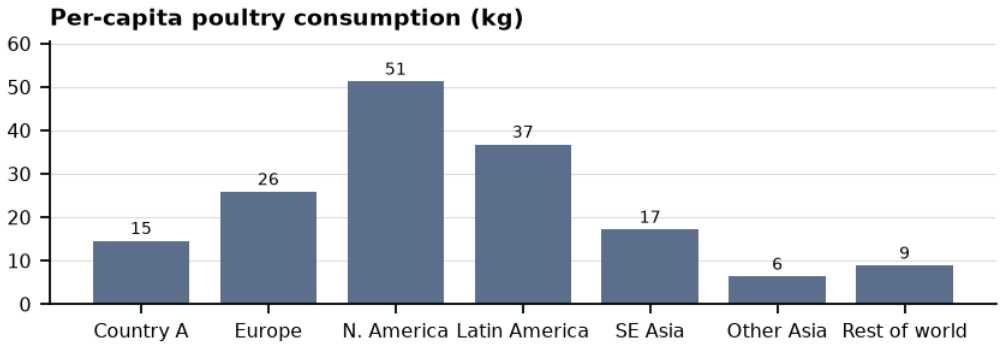


Exhibit 27: Per-capita poultry consumption by geography, 2025 (kg per person, synthetic)

Country A poultry consumption is low by developed-market standards and is growing faster than pork as consumers respond to price. Production has grown at approximately 3.0% per year since 2005 and the government subsidises the consolidation of production into large, biosecure farms, which are built with environmentally controlled houses and radiant brooding. North American poultry production grows at roughly 2% per year, driven by export demand and by the substitution of chicken for beef in food service; the industry adds approximately 600 to 900 new broiler houses per year and renovates a further 1,500 to 2,000, each of which requires a full complement of brooders or tube heaters. Integrators are concentrated - the twenty largest account for roughly 85% of North American production - and their equipment specifications determine which heating brands contract growers install.

Europe and Eurasia are mature markets in which demand is driven by replacement, by welfare regulation and by energy efficiency. Regional welfare rules in Europe on stocking density, enrichment and antibiotic use have progressively raised the specification of broiler houses and pig barns, and rising energy prices since 2022 have accelerated the replacement of older forced-air units with radiant equipment that uses less fuel per animal. Eurasian production is concentrated in large, state-supported integrators that build to Western designs and buy in project quantities. Kalvorn serves both regions through distributors and regards them as steady, margin-accretive contributors rather than as principal growth markets; the low-pressure BM-LP, certified to European standards in fiscal 2024, is the Company's main new-product lever in the region.

Construction

Total United States construction put-in-place is estimated at approximately $1.75 trillion per year (synthetic industry statistics). Residential construction has recovered from the post-recession trough but remains below the level implied by household formation, and industry research firms forecast growth of 3.5-4.5% per year to 2030 on (1) the accumulated housing shortfall, (2) the re-shoring of manufacturing capacity and the associated plant construction, (3) federal and state infrastructure programmes and (4) the growing share of activity in northern and mountain states. Non-residential construction is forecast to grow at 2.5-3.5% per year. Construction in the rest of North America, which represents roughly 15% of Kalvorn's construction sales, is forecast by research firms to grow at 2-3% per year on (1) immigration-driven housing demand, (2) energy and mining project restarts and (3) regional infrastructure spending.

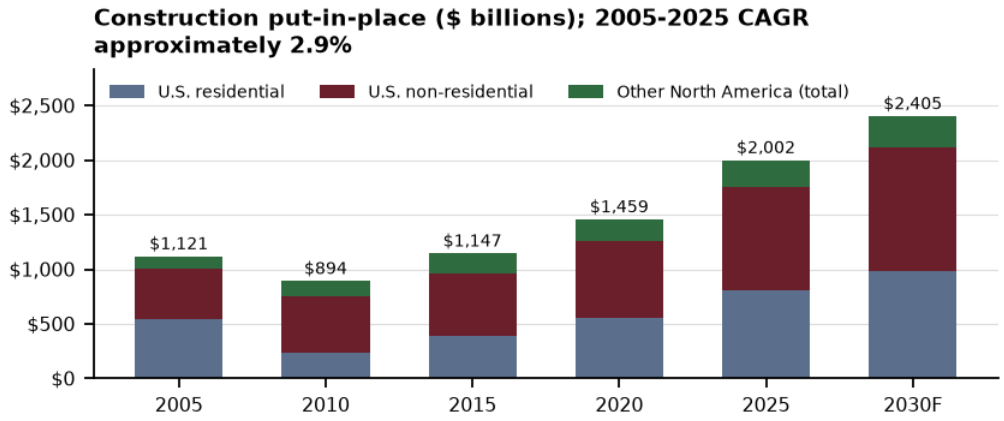


Exhibit 28: North American construction put-in-place, 2005-2030F ($ billions, synthetic)

2.3 Industry Participants

The agricultural heating market is served by a small number of specialist manufacturers, several of which participate in only one segment, and by the heating divisions of larger ventilation-equipment companies. Kalvorn is distinguished by its presence in every segment, by the breadth of its technology portfolio and by a brand that growers use generically for the product category. Competitors 1 and 2 are diversified agricultural-equipment companies whose heaters are sold as part of a ventilation package; Competitors 3 and 4 are single-segment specialists in poultry brooders and construction heaters respectively; Competitor 5 is a European manufacturer with a strong position in Europe and Eurasia and a small North American presence. Adjacent categories such as electric heat mats, hot-water floor heating and heat pumps do not compete meaningfully in confinement buildings because of their capital cost and inability to respond quickly to temperature changes.

Design philosophies differ by region. European manufacturers favour higher-cost, higher-efficiency units with sophisticated controls that suit the smaller barns and higher energy prices of Western Europe, while North American designs emphasise output, durability and low first cost for large barns and cheaper gas. Country A, Southeast Asia and Latin America have historically adopted North American designs as their integrators build to North American house specifications, which gives Kalvorn a structural advantage in the fastest-growing regions. The table below summarises management's estimate of the competitive landscape.

Participant	N. American swine	N. American poultry	N. American construction	Europe & Eurasia ag.	Asia-Pacific ag.
Kalvorn Thermal Products	**41%**	**22%**	**4%**	**4%**	**3%**
Competitor 1 - diversified ag. equipment, North America	24%	19%	-	6%	9%
Competitor 2 - diversified ag. equipment, North America	13%	17%	-	3%	7%
Competitor 3 - poultry brooder specialist	-	21%	-	2%	5%
Competitor 4 - construction heater specialist	-	-	21%	-	-
Competitor 5 - European heating manufacturer	3%	4%	-	38%	11%
Competitor 6 - construction and rental heater manufacturer	-	-	16%	-	-
Competitor 7 - portable heater brand (mass market)	-	-	12%	-	-
Competitor 8 - European ventilation and heating group	-	-	-	19%	8%
Competitor 9 - Country A domestic manufacturers (aggregate)	-	-	-	-	34%
Competitor 10 - Australasian distributor-manufacturer	-	-	-	-	6%
All others	19%	17%	47%	28%	17%
Total market size ($ in thousands)	**$31,200**	**$41,400**	**$181,000**	**$46,500**	**$133,000**

Exhibit 29: Industry participants - estimated market share by segment, fiscal 2025 (management estimates)

Note: Shares are management estimates based on dealer surveys, integrator specifications and import statistics; they are indicative only. Dashes indicate that the participant does not compete meaningfully in the segment.

3. Business Description

3.1 History of the Company

Kalvorn was founded in 1987 by Henrik Marlbeck, a sheet-metal contractor in State A who had spent a decade repairing the imported forced-air heaters that local hog farmers used in their nurseries and concluded that he could build a better one. The first KalvornAir unit, a 150,000 Btu/h propane heater with a galvanised housing and a belt-driven blower, was assembled in a rented 8,000 square foot shop and sold through three local dealers. Within five years the Company had added a natural-gas version, a second output size and a line of construction heaters that the same dealers sold to contractors in the off-season, and had outgrown two buildings.

The Company moved to its current site in 1996, when it built the first 70,000 square feet of the present plant, and in the same year it was approached by an event-rental company that wanted a heater quiet and clean enough to use inside a wedding tent. The resulting EventHeat line opened the hospitality market and remains a profitable niche. Radiant products followed: a radiant tube heater developed for swine finishing barns in 1999, the first BrooderMax brooder for poultry in 2004 and the patented high-pressure BM-40 emitter in 2013. International sales began with a European distributor in 2001 and expanded to Eurasia, Latin America and Australasia through the 2000s and 2010s. A greenhouse heater line was introduced in 2008 at the request of a horticultural distributor.

Thomas Marlbeck succeeded his father as Chief Executive Officer in 1998, and Gregory Marlbeck assumed responsibility for operations in 2011. Since fiscal 2012 the Company has acquired and integrated a radiant-tube manufacturer, doubled net sales, launched ten new or substantially redesigned products, entered Country A and three Southeast Asian and Australasian markets, built the 60,000 square foot distribution centre, implemented an enterprise resource planning system and divested two non-core sister companies - a sheet-metal job shop in 2018 and a small agricultural-controls business in 2021 - so that the remaining business is a pure-play heating manufacturer. Kalvorn has twice been named manufacturer of the year by its state manufacturers' association and has been recognised for workplace safety by the state's department of labour in each of the last six years. The key milestones in the Company's history are summarised in the table below.

Year	Event
1987	Company founded by Henrik Marlbeck; first KalvornAir 150,000 Btu/h forced-air heater sold through three State A dealers
1990	Natural-gas and dual-output models introduced; construction heater line launched for the off-season
1996	Moved to current site; first 70,000 sq ft of the manufacturing plant built; EventHeat tent heater line developed for an event-rental customer
1998	Thomas Marlbeck appointed Chief Executive Officer
1999	First KalvornRadiant radiant tube heater for swine finishing barns
2001	First international distributor appointed in Europe
2004	BrooderMax radiant brooder introduced; entry into the poultry market
2008	Greenhouse heater line introduced; plant expanded to 120,000 sq ft
2011	Gregory Marlbeck appointed President and Chief Operating Officer; in-house combustion laboratory commissioned
2012	Acquisition of a regional radiant-tube manufacturer; KalvornRadiant RT-125 launched
2013	Patent granted on the BrooderMax BM-40 high-pressure emitter
2016	Entry into Country A through a distributor; plant expanded to 165,000 sq ft
2017	Australasian distributor appointed; KA-250 forced-air heater launched
2018	Genuine-parts dealer programme launched; divestiture of sheet-metal job shop; Daniel Okafor joins as Chief Financial Officer
2019	Dedicated Country A sales manager appointed; Southeast Asian distributors added; RT-80 poultry tube heater launched
2020	Fibre laser with automated sheet loading installed; dual-fuel option standardised across forced-air line

Year	Event
2021	Divestiture of agricultural-controls business; 60,000 sq ft distribution centre completed
2022	Bonded warehouse opened in Country A; patent granted on KalvornRadiant mid-output emitter; second anchor integrator won in Country A
2023	BrooderMax BM-LP low-pressure brooder launched; local-language brand registered in Country A
2024	ERP system went live; KA-CX indirect-fired construction heater launched; national rental chains added as direct accounts
2025	KA-250 redesign launched; Integrator A names Kalvorn sole specified heating supplier; net sales of $42.6 million
2026	First KA-CX 400,000 Btu/h units in certification; the members engage Ostrelle Partners

Exhibit 30: Key milestones, 1987-2026

3.2 Products

Kalvorn manufactures forced-air, radiant brooder, radiant tube, convection and indirect-fired heaters in outputs from 40,000 to 400,000 Btu/h, in natural-gas, propane and dual-fuel versions, with direct-spark or hot-surface ignition and 115-volt, 230-volt or 12-volt electrical systems. Most products are built on modular platforms that share housings, gas trains and controls, so a dealer's order can be configured from stock components in a few days. The Company sells into five markets - swine, poultry, construction and rental, hospitality and greenhouse - and supports every product with genuine service parts. Net sales by product family in fiscal 2025 are shown in the chart below; the seven families are described in the paragraphs that follow, with each product's principal market, output range, typical dealer price and fiscal 2025 net sales.

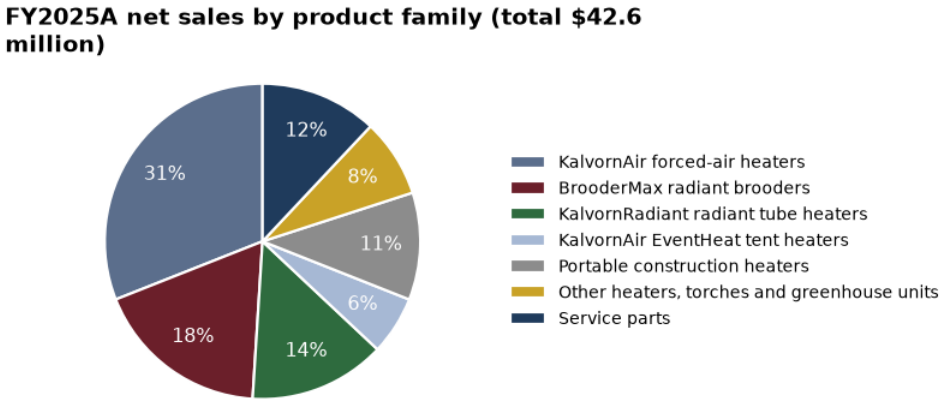


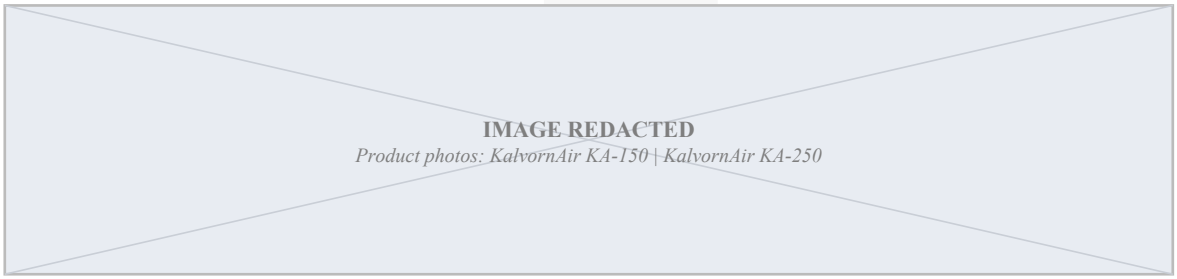
Exhibit 31: Fiscal 2025A net sales by product family

Product family	Brand / lines	Principal markets	Output range (Btu/h)	FY2025A net sales	% of net sales
Forced-air heaters	KalvornAir KA-150, KA-250	Swine, poultry	150,000 - 250,000	$13,213	31.0%
Radiant brooders	BrooderMax BM-40, BM-LP	Poultry	30,000 - 40,000	7,672	18.0%
Radiant tube heaters	KalvornRadiant RT-125, RT-80	Swine, poultry, workshops	80,000 - 125,000	5,967	14.0%
Tent heaters	KalvornAir EventHeat	Hospitality, construction	175,000	2,557	6.0%
Portable construction heaters	KA-CX (indirect), KA-DF (direct), sourced liquid-fuel line	Construction, rental	80,000 - 400,000	4,689	11.0%
Other heaters	Convection, tank-top, greenhouse GH-250	Greenhouse, nurseries	40,000 - 250,000	3,411	8.0%
Service parts	Genuine parts and accessories, all lines	All markets	n/a	5,115	12.0%
Total net sales				**$42,624**	**100.0%**

Exhibit 32: Product families, fiscal 2025A ($ in thousands)

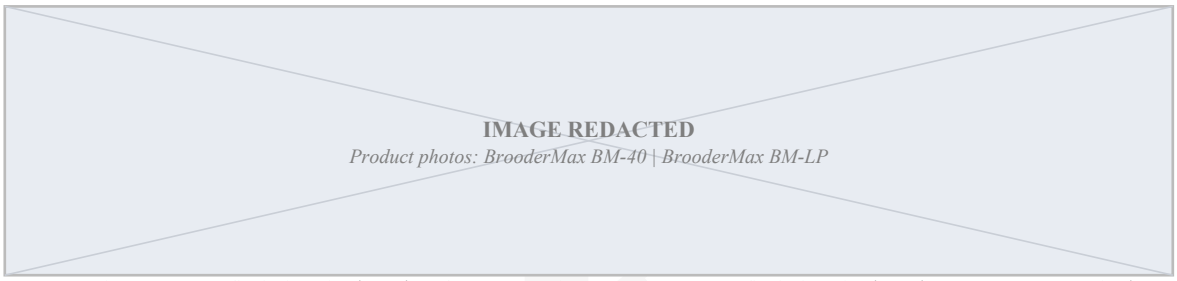
Swine and poultry heaters

Forced-air heaters - The KalvornAir KA-150 and KA-250 are the Company's original and largest product lines and the standard heater in North American swine nurseries, finishing barns and many poultry houses. Both use a stainless-steel burner, a direct-drive blower and a sealed control compartment that keeps dust and moisture away from the ignition board, the design features that dealers cite when they explain why a KalvornAir outlasts competing units by several seasons. The KA-250 was fully redesigned in fiscal 2025 with a 12% higher airflow, a hinged service door and a common control board across the line. Growers buy forced-air units because they are inexpensive per Btu, warm a room quickly and are simple for farm staff to service. The two lines generated $13.2 million of net sales in fiscal 2025.



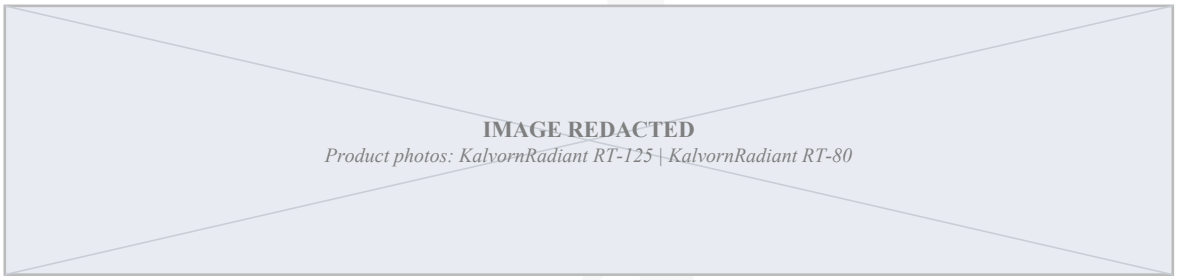
KA-150: swine and poultry; 150,000 Btu/h; dealer price $1,180-$1,420 | KA-250: swine and poultry; 250,000 Btu/h; dealer price $1,640-$1,980

Radiant brooders - The BrooderMax BM-40 and BM-LP are radiant brooders for broiler and turkey houses. The BM-40's patented high-pressure emitter produces a wide, even radiant pattern at floor level and, in independent testing, uses 18-22% less propane than the leading competing brooder at equivalent floor temperature. The BM-LP, launched in fiscal 2023, delivers the same emitter performance at low natural-gas network pressure and opened a segment previously closed to Kalvorn; it is the specified brooder on the Integrator A programme. Brooders are sold in sets of 20 to 40 per house through poultry dealers and contractors and generated $7.7 million of net sales in fiscal 2025.



BM-40: poultry; 40,000 Btu/h; dealer price $410-$470 | BM-LP: poultry; 30,000-40,000 Btu/h; dealer price $440-$510; FY2025A net sales $2.4 million

Radiant tube heaters - The KalvornRadiant RT-125 and RT-80 are gas-fired tube heaters with reflectors that radiate along a 20- to 60-foot tube. The RT-125, acquired with the 2012 acquisition and re-engineered in-house, is used in swine finishing barns, workshops and rental fleets; the RT-80, launched in fiscal 2019, is a mid-output poultry tube heater with a patented emitter that extends the radiant footprint by roughly a third and is now the Company's fastest-growing agricultural product. The two lines generated $6.0 million of net sales in fiscal 2025.



RT-125: swine, workshops, rental; 125,000 Btu/h; dealer price $1,720-$2,050 | RT-80: poultry; 80,000 Btu/h; dealer price $1,290-$1,480

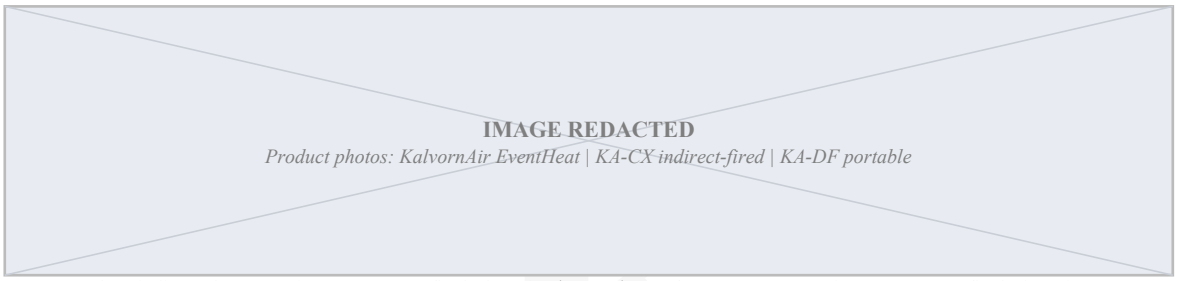
Construction and hospitality heaters

Kalvorn sold $7.2 million of heaters and parts into the construction and rental market and $3.1 million into the hospitality and greenhouse markets in fiscal 2025 through three product families.

EventHeat tent heaters - The KalvornAir EventHeat is a 175,000 Btu/h indirect-fired heater developed in 1996 for an event-rental customer that needed clean, quiet heat inside tents. A dual-fuel version was developed at the request of a national rental chain in 2014, and the line has since been adopted by construction contractors for occupied interiors, by film and television location crews and by disaster-relief agencies. The line generated $2.6 million of net sales in fiscal 2025 and carries the Company's highest equipment gross margin.

KA-CX indirect-fired construction heater - Launched in fiscal 2024, the KA-CX is a 200,000 Btu/h indirect-fired unit with a stainless heat exchanger, ducting collars and a fork-pocket frame designed for rental fleets. It addresses the estimated 30% of temporary-heat applications where direct-fired combustion is not permitted, a segment in which Kalvorn previously had no product. First-full-year net sales were $1.1 million; a 400,000 Btu/h model and an 80,000 Btu/h model are in certification.

Portable construction heaters - The KA-DF direct-fired portable line is manufactured in-house in 80,000 to 400,000 Btu/h outputs and is the Company's principal rental-fleet product. A complementary line of liquid-fuel (kerosene and diesel) portable heaters is sourced from an overseas supplier under Kalvorn's specification and brand, which allows the Company to offer rental chains a complete fleet. The portable lines generated $4.7 million of net sales in fiscal 2025.



EventHeat: hospitality and construction; 175,000 Btu/h; dealer price $3,900-$4,600 | KA-CX: construction; 200,000 Btu/h; dealer price $4,200-$4,900
KA-DF: construction and rental; 80,000-400,000 Btu/h; dealer price $640-$2,380

Other heaters

Other heaters comprise two convection lines used in nurseries and small buildings, a sourced radiant tank-top heater, a hand-held propane torch line that is being wound down (see Section 5.5), and the greenhouse heater, a 250,000 Btu/h forced-air unit with a corrosion-resistant coating and horticultural controls sold through greenhouse-supply distributors. These products generated $3.4 million of net sales in fiscal 2025. None is a strategic priority, but each uses the plant's existing capabilities and contributes margin.

Service parts

Confinement heaters operate in a corrosive, dust-laden environment for six months of the year and require regular maintenance: burners and igniters are cleaned or replaced each season, blower motors and control boards every three to four years, and housings and gas trains at the eight- to twelve-year rebuild. Growers perform most of this work themselves and buy parts through their dealer. Kalvorn estimates its installed base at approximately 410,000 units and its genuine-parts capture rate at roughly 70%. Service parts generated $5.1 million of net sales in fiscal 2025, 12.0% of the total, at a gross margin of approximately 52%. The genuine-parts programme launched in fiscal 2018 has five elements:

- Dealer stocking expectations: authorised dealers agree to stock a defined list of high-turn parts for the models in their territory.
- Education: dealers and growers are shown the warranty, liability and certification consequences of substituting non-genuine components in a certified gas appliance.
- Promotional kits and seasonal pre-season parts programmes with extended terms, mirroring the equipment pre-season programme.
- Pricing that removes volume discounts from dealers who are found to sell non-genuine substitutes for Kalvorn-branded parts.
- Vendor agreements that restrict the Company's component suppliers from selling Kalvorn-specified parts to third parties.

Accessories such as thermostats, controllers, hanging kits, ducting and gas-supply components are sold with new heaters and as parts, and are recorded in service parts when sold separately. Parts pricing is set from a separate price book with dealer discounts of 25-35% and is increased annually; the Company monitors the ratio of parts sales to installed base by model and region as a leading indicator of substitution. The chart below shows the growth of service parts net sales since fiscal 2019.

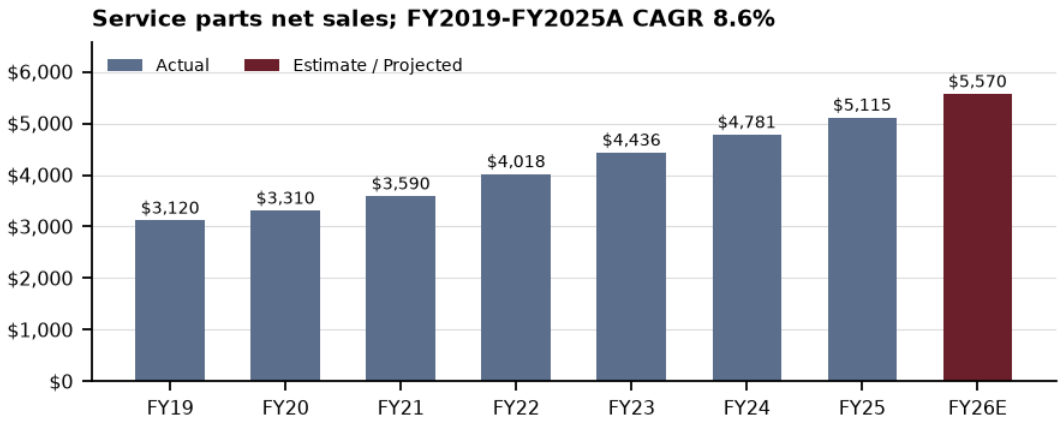


Exhibit 33: Service parts net sales, fiscal 2019 - fiscal 2026E ($ in thousands)

3.3 Engineering

Engineering is the Company's principal source of differentiation. The fourteen-person department, led by Priya Natarajan, Vice President of Engineering, is the largest dedicated heating-equipment engineering team in the industry and is responsible for new product development, sustaining engineering on the existing lines, certification testing, manufacturing-process engineering and technical support to the salesforce and to customers. The department's average tenure is twelve years, and four of its members hold professional engineering licences.

P. Natarajan - VP Engineering				
Engineering manager (3 engineers)	Senior engineer - radiant	Technical support (2)	R&D technicians (4)	CAD design (2)

- Product engineers own a product family from concept through certification and production release, and lead cost-reduction and manufacturability projects on the existing lines.
- Research and development technicians build prototypes, run the combustion laboratory and conduct the durability, efficiency and safety tests required for certification.
- Technical support specialists design heater layouts for large projects, attend commissionings and answer the dealer and grower technical calls that customer service escalates.

The in-house combustion laboratory, commissioned in 2011 and expanded in 2019, allows Kalvorn to develop and pre-certify products without the delays and cost of external test houses. Equipment includes:

- Flue-gas analysers and a calorimetric test cell for efficiency and emissions measurement
- A thermal-imaging camera used for floor-temperature uniformity mapping and for competitive marketing material
- A gas chromatograph for fuel and combustion-product analysis
- Computational fluid dynamics software for airflow and radiant-pattern modelling
- Three-dimensional CAD software integrated with the ERP system and the laser and punch programming

Because the laboratory can run the full test protocol of the national gas-appliance standard, external certification bodies typically witness rather than repeat the Company's testing, which shortens the certification of a new product by three to six months and allows Kalvorn to respond to customer requests, such as the BM-LP, within a single development cycle.

New product development

Kalvorn has introduced ten new or substantially redesigned products since fiscal 2019, listed in the table below. Five are classified as improvements to existing products and five as expansions into segments the Company did not previously serve.

Year	Product	Description	Type (1)	Market opportunity	Net sales since introduction
FY2019	KalvornRadiant RT-80	Mid-output poultry tube heater with patented extended-footprint emitter	Expansion	Poultry tube segment, approx. $18 million	$9.4 million
FY2020	KA dual-fuel option	Field-switchable natural gas / propane gas train standard on all forced-air models	Improvement	Reduces dealer inventory; supports export	n/a (option)
FY2021	EventHeat 175 Mk II	Redesigned heat exchanger and quieter blower for tent and occupied-interior use	Improvement	Hospitality and interior construction	$6.1 million
FY2021	BrooderMax BM-40 controls	Integrated electronic thermostat with integrator-network compatibility	Improvement	Integrator specifications	n/a (option)
FY2022	KA-DF 400	Largest direct-fired portable, fork-pocket frame for rental fleets	Expansion	Large-site rental fleets, approx. $40 million	$2.7 million

Year	Product	Description	Type (1)	Market opportunity	Net sales since introduction
FY2023	BrooderMax BM-LP	Low-pressure natural-gas radiant brooder	Expansion	Low-pressure poultry segment, approx. $22 million	$4.9 million
FY2023	Greenhouse GH-250 Mk II	Corrosion-resistant coating and horticultural control package	Improvement	Greenhouse replacement demand	$1.8 million
FY2024	KA-CX 200	Indirect-fired construction heater with stainless heat exchanger	Expansion	Indirect-fired temporary heat, approx. $55 million	$1.6 million
FY2025	KalvornAir KA-250 redesign	Higher airflow, hinged service door, common control board	Improvement	Core swine and poultry replacement cycle	$5.2 million
FY2026	KA-CX 400 and KA-CX 80	Larger and smaller indirect-fired models (in certification)	Expansion	Extends KA-CX line to full rental fleet	Launch planned Q4 FY2026

Exhibit 34: Product development history, fiscal 2019 - fiscal 2026

Note: (1) "Expansion" denotes a product that opened a segment in which the Company previously had no offering and whose sales are largely incremental; "Improvement" denotes a modification of an existing product that defends or extends its position.

New product development is a collaborative, gated process. Ideas originate with customers, the salesforce, the technical support specialists and the marketing team's annual competitive analysis, and are logged in a product-council register that is reviewed quarterly by the Vice Presidents of Engineering, Sales and Marketing and Operations. Each proposal that advances receives a product definition, a target cost, a development budget and a schedule, and is approved by a steering committee chaired by the President. Design proceeds through concept, prototype, laboratory testing, field trial and certification stages, with pricing set by marketing before production release. A typical project takes six to twenty-four months from approval to first shipment, and the department is normally working on three to five projects at once.

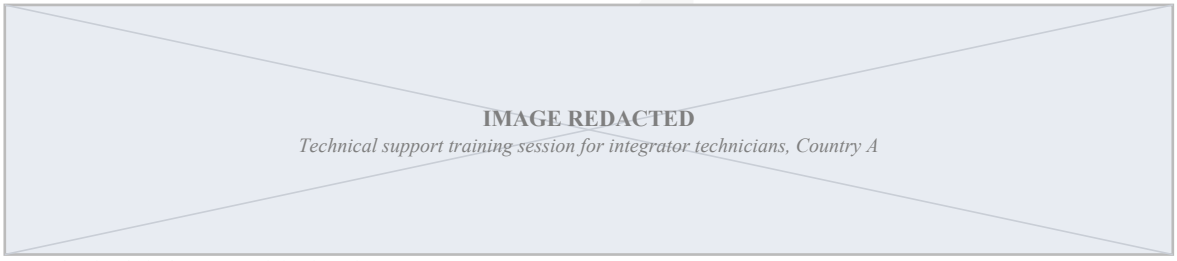
3.4 Customer and Technical Service

Customer service is a six-person team led by the customer service manager, who reports to Lena Marchetti. Four customer service representatives - three covering North America and one dedicated to international accounts - take dealer and distributor orders, quote lead times, manage the pre-season programmes, coordinate shipments with the distribution centre and handle warranty registrations and claims. The team answers calls within one business hour, ships stocked parts the same day for orders received by 2:00 p.m., and maintains the dealer portal through which approximately 60% of orders are now received.

Two technical support specialists in the engineering department provide the technical layer of customer service and offer three services:

- Application assistance: selecting the right heater type, output and quantity for a building, fuel and climate.
- Heater layout: drawing the placement, hanging heights, gas piping and control zones for new barns and large projects.
- On-site training and commissioning: attending the start-up of integrator projects and training contractor and dealer technicians.

This support is a principal reason for customer loyalty. During the solid-fuel-to-gas transition in Country A, for example, the Company's in-country technical employee and a visiting support specialist ran installation and maintenance clinics at eleven integrator farms over two winters, which management credits with securing the second anchor integrator and with a warranty claim rate on Country A shipments below the North American average.



Example of technical support training in Asia

3.5 Sales and Marketing

Kalvorn's go-to-market organisation is led by Lena Marchetti, Vice President of Sales and Marketing, who joined the Company in 2014 from a national agricultural-equipment distributor. Eleven sales employees sell directly to dealers, contractors, integrators, national rental accounts and international distributors, and manage the 65 manufacturers' representatives who cover the construction and hospitality markets. The organisation is structured around the way each market buys: North American agriculture is sold consultatively by four regional sales managers, construction and hospitality by a national sales manager through the representative network, Country A by a dedicated United States-based manager with two in-country staff engaged through a local service company, and the rest of the world by a manager based in Europe who works through distributors. Dealer and representative education is a central activity, with more than 40 training clinics held each autumn.

L. Marchetti - VP Sales & Marketing

Ag. regional sales managers (4)	National construction sales mgr. (+1 RSM, 65 reps)	Country A sales manager (+2 in-country)	International sales mgr. (14 distributors)	Marketing (4) and customer service (6)

The table below summarises the channels through which Kalvorn reaches each market, the number of channel partners and the share of fiscal 2025 net sales that flowed through each.

Channel	Markets served	Partners / accounts	Kalvorn coverage	% of FY2025A net sales
Agricultural equipment dealers	Swine, poultry, service parts	Approx. 310 dealers	4 regional sales managers	38%
Confinement-building contractors	Swine, poultry (new builds and renovations)	Approx. 90 contractors	4 regional sales managers	14%
Integrators (direct and specified)	Poultry, swine	22 integrator accounts	Regional managers, VP Sales	9%
National equipment-rental chains	Construction, hospitality	2 national accounts	National construction sales manager	7%
Independent rental yards and industrial distributors	Construction, hospitality, greenhouse	More than 400 locations	65 manufacturers' representatives, 1 RSM	12%
Propane and natural-gas distributors	Construction, agriculture	Approx. 60 distributors	Representatives and dealers	3%
Country A integrators and contractors	Swine, poultry	2 anchor integrators; 31 projects	Country A sales manager, 2 in-country staff	7%
International distributors	Swine, poultry, greenhouse	14 distributors in 11 countries	International sales manager	6%
Direct to end users and other	All markets	Web, walk-in and OEM/private-label accounts	Customer service	4%

Exhibit 35: Sales channels, fiscal 2025A

North American agriculture

The four regional sales managers have an average tenure of sixteen years and are recognised in their territories as heating experts rather than salespeople. Each manages 60 to 90 dealer and contractor accounts, calls on the integrators headquartered in the region, designs layouts for large projects and runs the autumn training clinics. Swine production is concentrated in the upper Midwest, where two of the four managers are based; poultry is concentrated in the southeastern states, where the other two are based. Kalvorn sells to growers through two channels, illustrated below: equipment dealers, who supply replacement units and parts to existing farms, and confinement-building contractors, who install heating as part of a new barn or a renovation.

North American swine and poultry sales channels

Kalvorn -> Equipment dealers (approx. 310) and confinement-building contractors -> Contract growers and family farms | Integrators (22 accounts) specify equipment for their contract growers and are called on directly by the regional sales managers.

Swine - Swine customers are typically multi-generational family operations that raise pigs under contract to an integrator or a cooperative, with contracts of ten to fifteen years that match the financing of the barn. Barns are renovated at roughly the mid-point of the contract and rebuilt at its end, and the grower rather than the integrator usually selects the heating brand, which makes the dealer relationship decisive. Growers perform their own maintenance and are heavy buyers of service parts. Kalvorn's swine net sales have grown at 4.1% per year since fiscal 2022 with the renovation cycle and modest pricing, and management expects the market to grow at 1-2% per year.

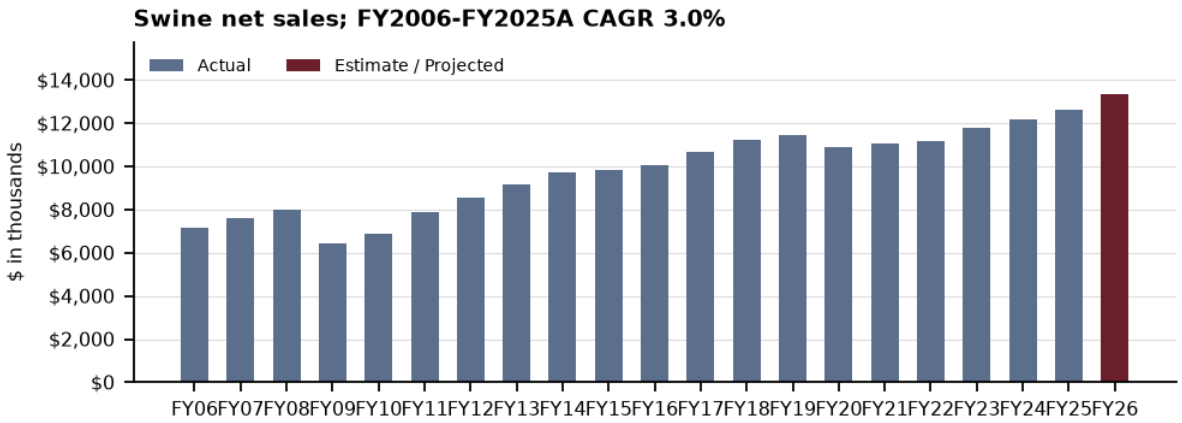


Exhibit 36: North American swine net sales, fiscal 2006 - fiscal 2026E ($ in thousands)

Poultry - Broilers are produced under an integrator model in which the integrator owns the birds, supplies the feed and specifies the house design and equipment, while the contract grower owns the house and its equipment and is paid on performance. Houses last twenty-five to thirty years and are re-equipped every ten to fourteen years; growers typically hold contracts of seven to fifteen years. Because the integrator's specification determines which brands a grower may install, Kalvorn's regional managers concentrate on the integrators' live-production and engineering staff, while the dealers and contractors that serve each complex handle fulfilment, installation and parts.

Poultry has been the Company's fastest-growing North American market, with net sales growing at 9.2% per year since fiscal 2022 as the radiant lines won integrator specifications. The chart below shows the long-term record.

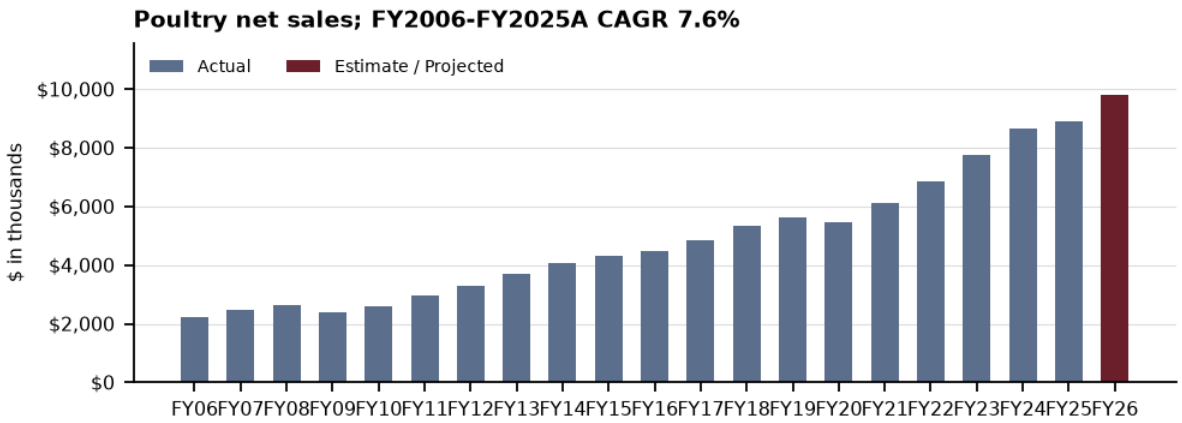


Exhibit 37: North American poultry net sales, fiscal 2006 - fiscal 2026E ($ in thousands)

International swine and poultry

International agricultural sales are concentrated in Country A, Southeast Asia and Australasia, Europe and Eurasia, and Latin America. Country A is led by a United States-based sales manager who spends roughly a third of the year in-country and is supported by a Country A national sales representative and a technical sales engineer employed through a local service company. The channel is integrator-led: Kalvorn sells to the integrator's procurement arm or to its designated contractor, ships in container quantities on reverse-flow ocean routes at low cost, and holds stock in a bonded third-party warehouse so that projects can be supplied within days. Country A net sales grew from $1.6 million in fiscal 2022 to $3.0 million in fiscal 2025.

The international sales manager for Europe, Eurasia and Australasia is based in Europe, speaks four languages and manages fourteen distributors who carry stock and provide first-line service. The strategy in these markets is distributor-led: Kalvorn supports the distributor with training, marketing material in the local language and joint calls on large integrators, and the distributor owns the customer relationship. Rest-of-world agricultural net sales were $2.7 million in fiscal 2025, and combined international agricultural sales are shown in the chart below.

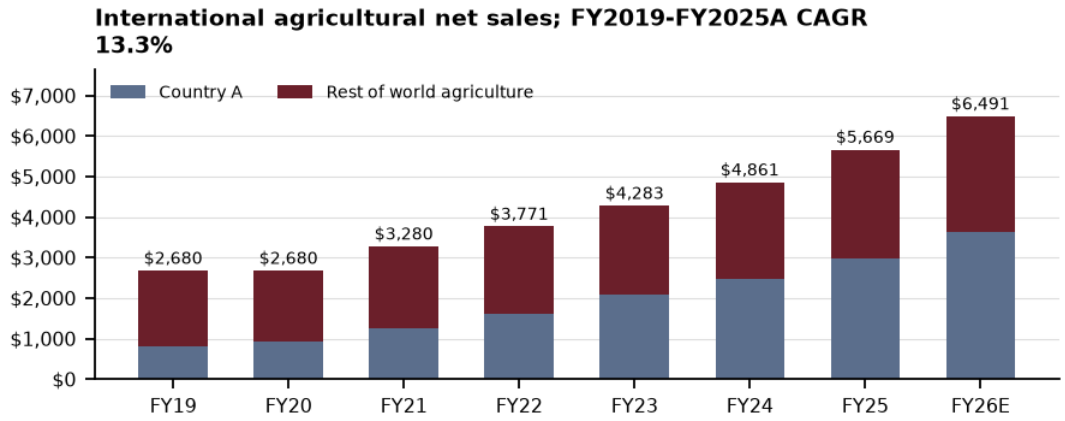


Exhibit 38: International agricultural net sales, fiscal 2019 - fiscal 2026E ($ in thousands)

Construction and hospitality

The construction and hospitality markets are managed by the national construction sales manager, who joined Kalvorn in fiscal 2022 from a national equipment-rental chain, and by one construction and tent regional sales manager who supervises the 65 manufacturers' representatives. Kalvorn pursues a premium-price strategy in this market, pricing 10-15% above the volume brands on the basis of durability, serviceability and the availability of parts through the life of the unit; rental-fleet managers, who measure cost per rental day, have proved receptive. The Company serves five channels:

- National rental chains (Rental Customer A and Rental Customer B): direct accounts with annual fleet-purchase programmes and negotiated pricing.
- Local and regional equipment-rental companies: more than 400 yards served through representatives and industrial distributors.
- Specialty tool and contractor-supply distributors, including members of the principal contractor-supply buying cooperative.
- Industrial distributors (Distributor A and Distributor B) that supply maintenance and construction products to plants and contractors.
- Propane and natural-gas distributors, which sell and lease heaters to their fuel customers.

National accounts are managed directly by the national sales manager; all other accounts are called on by representatives, who earn a commission of 5-8% and are supported by the regional sales manager with training, joint calls and trade-show participation.

Share gains have come from the representative upgrades, the KA-CX and EventHeat Mk II launches and the national-account programmes. The chart below shows construction and hospitality net sales since fiscal 2019.

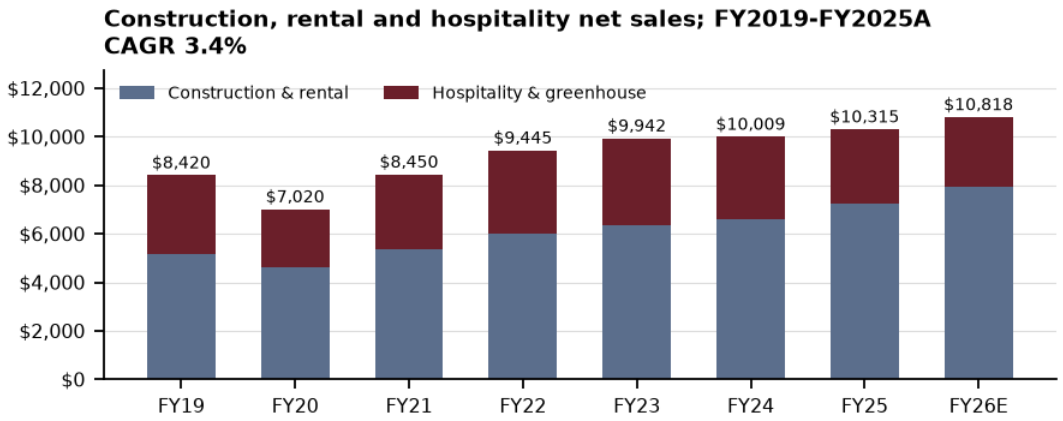


Exhibit 39: Construction, rental and hospitality net sales, fiscal 2019 - fiscal 2026E ($ in thousands)

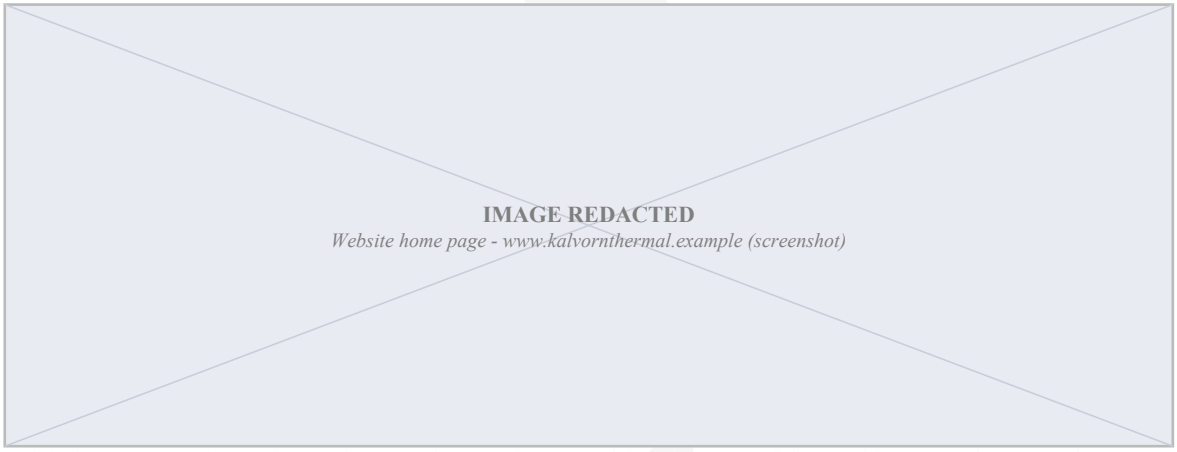
Marketing

The four-person marketing team is led by the marketing manager, who reports to Lena Marchetti, and comprises a product marketing specialist, a digital and content specialist and a trade-show and dealer-programme coordinator. The team is responsible for pricing, dealer programmes, brochures and technical literature, the website and video channel, trade shows and the annual competitive analysis that feeds the product council. Messaging is developed jointly with engineering so that the Company's claims - fuel savings, temperature uniformity, durability - are supported by laboratory data. Marketing targets dealers, contractors, integrators and rental-fleet managers rather than end growers, and uses four principal methods:

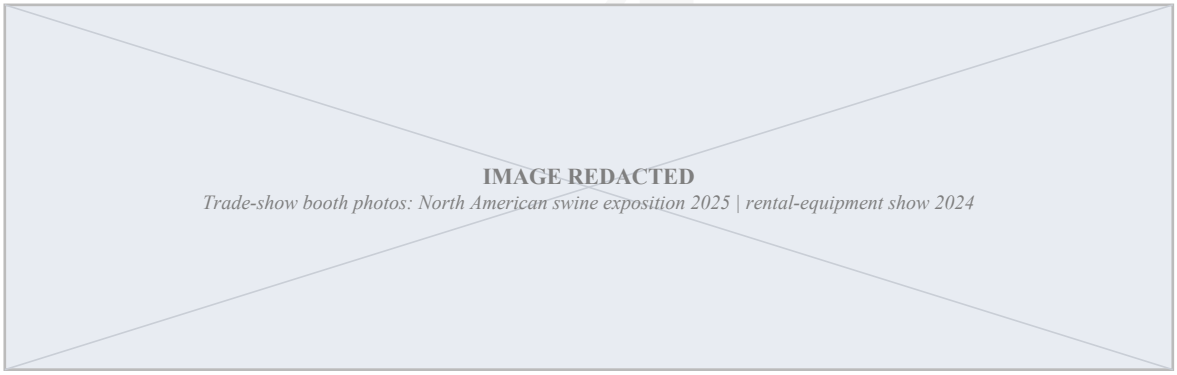
- Website: a technical website in English, a second North American language and the Country A language with product configurators, layout guides, parts diagrams and a dealer locator; approximately 210,000 unique visitors

in fiscal 2025.

- Trade shows: approximately twenty events per year, including the largest North American swine, poultry and rental-equipment shows, at which Kalvorn operates the largest dedicated heating booth; international shows are used to educate distributors and integrators.
- Video channel: more than 140 instructional and troubleshooting videos with a cumulative 4.3 million views, which reduce service calls and reinforce the genuine-parts message.
- Brochures and dealer material: downloadable product and comparison literature, including thermal-imaging comparisons produced in the Company's laboratory, that channel partners use in their own selling.

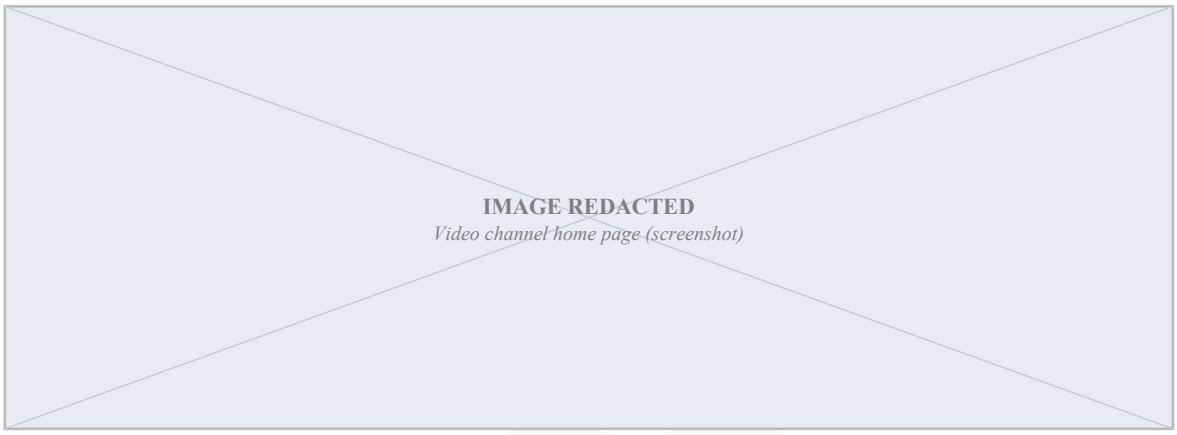


Website home page: product configurator, layout guides, parts diagrams and dealer locator; English, second-language and Country A language editions

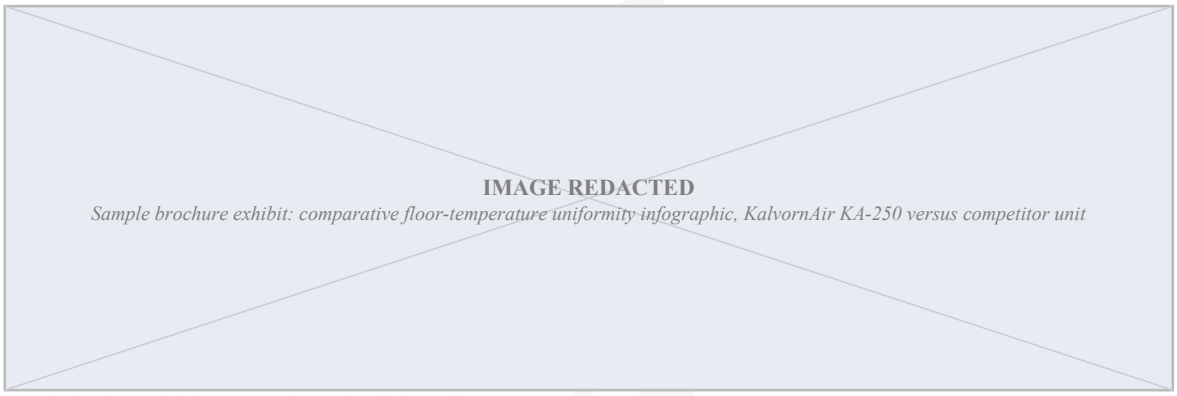


Left: Kalvorn booth, North American swine exposition, 2025. Right: KA-CX demonstration, national rental-equipment show, 2024.

The video channel and the brochure library are the marketing team's most efficient tools. The instructional videos are produced in the Company's laboratory and on customer farms, are indexed by model and fault code, and are linked from the parts diagrams on the website so that a dealer technician can move from a symptom to a rebuild kit in a few clicks. The comparison brochures are built from laboratory data and are supplied to dealers and representatives as print-ready files that they can co-brand.

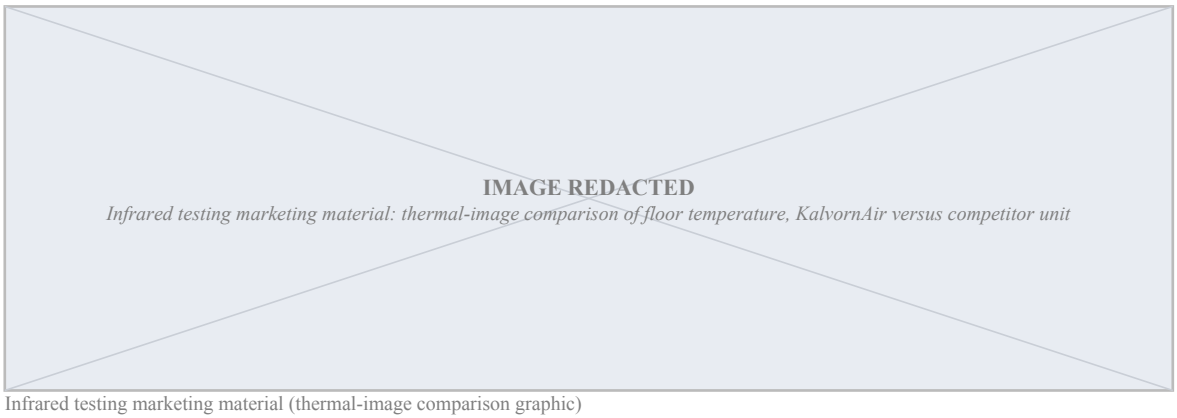


Video channel: more than 140 instructional and troubleshooting videos; 4.3 million cumulative views



Sample brochure exhibit: comparative product infographic

Kalvorn is unusual among its competitors in publishing its own test data. The thermal-imaging comparison below, which appears in the swine and poultry brochures and at trade shows, was produced in the Company's test barn with the infrared camera described in Section 3.3 and shows the floor-temperature distribution of a KalvornAir unit against a competitor's heater of the same rated output; the narrower cold band at the edges of the pen is the visible expression of the uniformity claim that underpins the Company's premium pricing.



Infrared testing marketing material (thermal-image comparison graphic)

Dealer programmes are the marketing team's principal lever in agriculture. Authorised dealers are tiered by volume and by their participation in the genuine-parts and training programmes; higher tiers receive better functional discounts, co-operative advertising allowances of up to 1% of purchases, priority allocation in peak season and listing on the website dealer locator. Approximately 90 dealers hold the top tier and account for roughly 60% of dealer purchases. In the construction channel the equivalent programme rewards representatives for demonstration units placed with rental yards and for KA-CX training completed, and the

two national rental accounts receive annual fleet reviews at which the Company's engineers and the account's fleet managers agree specifications and rebuild kits for the following season.

Pricing

Kalvorn publishes annual price books for each market and rarely deviates from them. Dealers buy at book less a functional discount and resell at a mark-up of 18-25%; representatives earn commissions of 5-8%; integrator and national-account programmes are priced from the same book with volume tiers. The Company has raised prices in each of the last four years to pass through steel, component and freight inflation, with an average increase of approximately 4% per year, and has acted as the price leader in its agricultural segments. Two categories are priced individually: large domestic poultry projects, for which the regional manager and the Vice President of Sales prepare a bid, and most Country A projects, which are bid by the Country A sales manager with approval from the Chief Financial Officer above a defined threshold.

Pre-season programmes offer dealers a discount of 3-5% and extended payment terms on orders placed between April and July for delivery before the heating season, which levels plant loading and funds the seasonal inventory build described in Section 5.7.

3.6 Customers

Kalvorn sold to 2,140 active customers in fiscal 2025. The ten largest accounted for 31.4% of net sales, the largest for 5.6%, and the top ten have an average relationship length of more than fifteen years. Eight of the ten are dealers, contractors or distributors who resell to hundreds of growers or contractors, so the concentration of end demand is lower still. No customer relationship is governed by a long-term supply contract; relationships are maintained through service, product performance and the dealer programmes described above.

Customer	Relationship	Customer type and market	FY2023A	FY2024A	FY2025A	% of FY2025A
Customer A	20+ years	Regional equipment dealer - Swine	$2,196	$2,318	$2,402	5.6%
Customer B	15-20 years	Equipment dealer - Swine & Poultry	1,734	1,809	1,871	4.4%
Customer C	10-15 years	Poultry integrator - Poultry	1,288	1,602	1,716	4.0%
Customer D	20+ years	Equipment dealer - Swine & Poultry	1,421	1,466	1,503	3.5%
Customer E	10-15 years	National equipment rental chain - Construction	1,097	1,153	1,289	3.0%
Customer F	15-20 years	Confinement building contractor - Swine	1,012	1,041	1,074	2.5%
Customer G	5-10 years	Country A integrator - Swine & Poultry	641	812	1,018	2.4%
Customer H	10-15 years	Equipment dealer - Poultry	866	903	941	2.2%
Customer I	5-10 years	Industrial distributor - Construction	702	751	803	1.9%
Customer J	15-20 years	Equipment dealer - Poultry	716	728	759	1.8%
Total top ten customers			**11,673**	**12,583**	**13,376**	**31.4%**
All other customers			26,567	27,933	29,248	68.6%
Total net sales			**$38,240**	**$40,516**	**$42,624**	**100.0%**

Exhibit 40: Top ten customers, fiscal 2023A - fiscal 2025A ($ in thousands)

3.7 Operations

Kalvorn is a vertically integrated manufacturer. Rafael Tremonte, Vice President of Operations, leads a 156-person operations organisation responsible for fabrication, machining, welding, finishing, assembly, quality, maintenance and the distribution centre. The Company fabricates every sheet-metal housing and reflector, machines its own gas-train components, welds tubes and frames, powder coats and paints in-house, and assembles and test-fires every unit, buying only commodity components and the sourced liquid-fuel portable line from outside.

Manufacturing process overview

In-house sheet-metal fabrication (laser, punch, press brakes, roll former) + In-house component capabilities (machining, welding, powder coating) + Sourced components (motors, valves, controls, steel) -> Heater assembly and 100% test-fire -> Distribution centre

Manufacturing process

The hourly workforce of 128 in manufacturing is supplemented by 20 to 35 seasonal temporary employees from June through November, when the pre-season orders are built. Production is scheduled on a rolling thirteen-week horizon from the ERP system, with the forced-air, brooder and radiant-tube lines built to a stock plan derived from the pre-season order book and the remaining products built to order. Cross-training is a condition of employment: every assembler is qualified on at least two lines and fabrication operators are qualified on at least two machines, which allows the plant to move labour between lines within a shift as the mix changes.

The core lines are built to stock in market-specific kits - for example, a KA-250 configured for a Country A integrator with a 230-volt motor and a propane gas train - so that dealer orders ship within five days and container orders within three weeks. Configured and specialty products are built to order with lead times of two to four weeks.

Sheet-metal fabrication occupies a 38,000 square foot bay equipped with a 6-kilowatt fibre laser with automated sheet loading and unloading, a CNC turret punch, five press brakes, a roll former for tube heater reflectors and a shear. The bay runs two shifts and operates at approximately 58% of capacity. Machining, welding and finishing occupy a further 22,000 square feet with three CNC machining centres, a CNC lathe, eight welding stations including two robotic tube-welding cells, and a five-stage wash and powder-coat line; these areas run two shifts at approximately 62% of capacity.

IMAGE REDACTED

Fabricated sheet-metal housing | machined gas-train component | assembly line

Component and assembly photographs

Assembly occupies 61,000 square feet on five lines: three dedicated to the KalvornAir, BrooderMax and KalvornRadiant families and two flexible lines for construction, tent, greenhouse and specialty products. Assembly runs one shift in the off-season and two shifts from July through December and operates at approximately 64% of demonstrated two-shift capacity over the year. Typical staffing is:

- KalvornAir line: 14 assemblers producing approximately 95 units per shift
- BrooderMax line: 9 assemblers producing approximately 220 brooders per shift

- KalvornRadiant line: 8 assemblers producing approximately 48 tube heaters per shift; flexible lines: 6 to 10 assemblers depending on product

58%	62%	64%	~$70M
Fabrication utilisation (2 shifts)	Machining and finishing utilisation	Assembly utilisation (annual, 2 shifts)	Net sales capacity on current footprint

The plant runs a continuous-improvement programme led by the Vice President of Operations and two lean coordinators. Since fiscal 2020 the programme has reduced the standard hours on the KA-250 by 17%, cut changeover time on the press brakes by more than half, halved the finished-goods footprint through kanban replenishment of the core lines and reduced the recordable injury rate to less than a third of the industry average. Every hourly employee participates in a weekly line meeting with a visible board of safety, quality, delivery and cost measures, and improvement ideas are rewarded through the safety and suggestion incentive programmes.

The distribution centre, completed in 2021 and connected to the plant by a covered dock, holds finished heaters, service parts and export containers in racking with bar-coded locations managed by the ERP system. It ships approximately 220 orders per day in season, with dealer orders leaving within one business day of release and container loads for Country A and the international distributors consolidated weekly. Parts orders are picked from a dedicated fast-moving area and are shipped the same day if received by 2:00 p.m.

Equipment

Capital investment of approximately $7.1 million since fiscal 2020 has modernised the plant. The fibre laser and automated loader, installed in fiscal 2020, replaced two older machines and doubled cutting capacity; two press brakes, the CNC punch and the roll former were added in fiscal 2021 and 2022; the ERP system, the second robotic welding cell and a new powder-coat oven followed in fiscal 2023 and 2024. Management estimates that the plant can support approximately $70 million of net sales on two shifts with the addition of assembly labour and modest tooling, and that a third shift in fabrication would extend capacity further without building expansion.

Sourcing and suppliers

A four-person materials team led by Mark Rennard, Director of Supply Chain, purchases steel, aluminium and stainless sheet, gas valves and regulators, ignition control boards, blower motors, radiant tubing, fasteners, thermostats and finishing materials, as well as the sourced liquid-fuel portable heaters. Purchasing is planned from a six-month forecast updated monthly, with steel bought on quarterly contracts and components on blanket orders with scheduled releases. Approximately 40% of steel is held on consignment by the mill's service centre and owned by Kalvorn only when pulled to the laser. Every critical component has at least two qualified sources, and the one outsourced process - zinc plating of small hardware - is split among three local platers. Total purchases were $19.3 million in fiscal 2025, of which the ten largest suppliers represented 53.6%.

Supplier	Component category	FY2025A purchases	% of total purchases
Supplier 1	Sourced liquid-fuel portable heaters (finished goods)	$2,118	11.0%
Supplier 2	Galvanised and cold-rolled steel coil	1,964	10.2%
Supplier 3	Gas valves and regulators	1,487	7.7%
Supplier 4	Aluminium and stainless sheet	1,102	5.7%
Supplier 5	Ignition control boards	964	5.0%
Supplier 6	Blower motors	887	4.6%
Supplier 7	Radiant tubing and reflectors	731	3.8%
Supplier 8	Fasteners and hardware	402	2.1%
Supplier 9	Thermostats and sensors	388	2.0%
Supplier 10	Powder coat and paint	296	1.5%
Total top ten suppliers		**10,339**	**53.6%**
All other suppliers		8,949	46.4%
Total purchases		**$19,288**	**100.0%**

Exhibit 41: Top ten suppliers, fiscal 2025A ($ in thousands)

Quality control

Every heater is test-fired before packing, with burner ignition, gas pressure, flame characteristics, electrical safety and airflow or radiant output checked against the certification specification; the results are recorded by serial number in the ERP system. A quality technician audits one unit per production run against the full certification protocol. Products are certified by independent third-party certification laboratories to the applicable North American gas-appliance standards and to the equivalent European standards for the export lines, and the certification bodies conduct quarterly unannounced factory inspections. Warranty expense has averaged 0.7% of net sales over the last four years, and the Company's in-house laboratory allows most field failures to be root-caused within a week.

Facilities

Kalvorn operates two facilities in State A, both owned by a related family entity and leased to the Company at a market rent of $1.14 million per year under a lease that expires in 2033 with two five-year renewal options. The 165,000 square foot manufacturing plant and headquarters, built in 1996 and expanded in 2008 and 2016, sits on 24 acres with room for a further 80,000 square feet of expansion; the 60,000 square foot distribution centre, completed in 2021 on an adjacent parcel, holds finished goods and service parts and ships approximately 220 orders per day in season. Overall capacity utilisation is approximately 64% on a two-shift basis, and management believes the current footprint can support the fiscal 2030 plan.

Facility	Location	Size	Built / expanded	Use	Ownership
Manufacturing plant and headquarters	State A (Midwestern U.S.)	165,000 sq ft on 24 acres	1996 / 2008 / 2016	Fabrication, machining, finishing, assembly, laboratory, offices	Leased from related entity
Distribution centre	State A, adjacent parcel	60,000 sq ft	2021	Finished goods, service parts, shipping	Leased from related entity
Country A bonded warehouse	Country A (third-party operated)	12,000 sq ft	2022	Regional stock for integrator projects	Third-party logistics contract

Exhibit 42: Facilities

Management information systems

A three-person information technology team maintains the Company's systems. The ERP system, implemented over fiscal 2023 and 2024 at a one-time cost of $208 thousand (see Section 5.5), integrates order entry, configuration, planning, purchasing, shop-floor reporting, serial-number traceability and financial reporting, and feeds the dealer portal. Engineering uses three-dimensional CAD integrated with the laser and punch programming. Payroll and benefits administration were outsourced to a national provider in fiscal 2022. The Company prints its own manuals and parts diagrams in-house, which saves approximately $60 thousand per year and allows revisions to ship with the product.

Function	Software / hardware
ERP, planning and financial reporting	Mid-market manufacturing ERP suite (cloud-hosted), live since fiscal 2024
Dealer portal and configurator	ERP-integrated web portal
Design and engineering	Three-dimensional parametric CAD with CAM links to laser and punch
Servers	Virtualised environment on two on-premise hosts with cloud backup
End-user devices	Approximately 95 desktops, laptops and shop-floor tablets
Payroll and benefits	Outsourced national provider
Quality and traceability	ERP serial-number module with test-fire data capture

Exhibit 43: Management information systems

4. Organization

4.1 Management

Kalvorn's management team combines the continuity of family ownership with a professional layer recruited from larger manufacturers. Since fiscal 2015 the Marlbeck family has recruited a Chief Financial Officer, a Vice President of Engineering and a Director of Supply Chain from outside the Company and has delegated budgets, hiring and operating decisions to functional leaders who are measured on monthly metrics. The culture is informal, engineering-led and customer-focused: executives attend trade shows, visit farms and job sites and take escalated customer calls. Since the current leadership structure was put in place the Company has doubled net sales, launched ten products, entered Country A and Southeast Asia, built the distribution centre and implemented an ERP system.

Succession is planned. Thomas Marlbeck intends to remain as Chief Executive Officer for a transition period of two to three years after a transaction, after which Gregory Marlbeck, who already directs day-to-day operations, would assume the role. The remaining executives intend to continue with the business and to participate in a management equity programme.

Name	Title	Age	Years with Kalvorn
Thomas Marlbeck	Chief Executive Officer	66	39
Gregory Marlbeck	President & Chief Operating Officer	58	31
Anne Marlbeck-Holt	Vice President, Finance & Administration	54	24
Daniel Okafor	Chief Financial Officer	49	7
Lena Marchetti	Vice President, Sales & Marketing	47	12
Rafael Tremonte	Vice President, Operations	52	16
Priya Natarajan	Vice President, Engineering	44	9
Mark Rennard	Director of Supply Chain	50	11

Exhibit 44: Management team





Thomas Marlbeck

Chief Executive Officer

Thomas Marlbeck joined Kalvorn in 1987 as its first employee and has been Chief Executive Officer since 1998. He led the move to the current site, the entry into the poultry, hospitality and international markets and the acquisition of the radiant-tube business, and he remains the Company's principal relationship with its largest integrator customers. He holds a bachelor's degree in mechanical engineering from a State A university and serves on the board of the state manufacturers' association.



Gregory Marlbeck

President & Chief Operating Officer

Gregory Marlbeck joined the Company in 1995 after four years as a manufacturing engineer at a national HVAC equipment manufacturer. He has led operations since 2011; he is responsible for the plant, engineering, supply chain and information technology and chairs the product-council steering committee. He holds a bachelor's degree in industrial engineering and completed an executive management programme at a Midwestern business school.



Anne Marlbeck-Holt

Vice President, Finance & Administration

Anne Marlbeck-Holt joined Kalvorn in 2002 from a regional public accounting firm and is responsible for treasury, banking relationships, human resources, insurance and the relationship with the family real-estate entity. She is a certified public accountant and holds a bachelor's degree in accounting.



Daniel Okafor

Chief Financial Officer

Daniel Okafor joined Kalvorn in 2018 from a private-equity-owned industrial components manufacturer, where he was corporate controller and led two add-on integrations. He is responsible for accounting, financial planning, pricing approval, the ERP system and the Company's relationship with Audit Firm A, and he sponsored the ERP implementation. He holds a bachelor's degree in finance and a master of business administration and is a certified public accountant.



Lena Marchetti

Vice President, Sales & Marketing

Lena Marchetti joined Kalvorn in 2014 from a national agricultural-equipment distributor, where she was regional vice president. She leads the sales, marketing and customer service organisations, has built the international and construction sales structures described in Section 3.5 and personally manages the two largest integrator accounts. She holds a bachelor's degree in agricultural business.



Rafael Tremonte

Vice President, Operations

Rafael Tremonte joined the Company in 2010 as plant manager after twelve years in manufacturing and continuous-improvement roles at a large agricultural-equipment manufacturer, and was promoted to Vice President of Operations in 2016. He led the fibre laser, robotic welding and powder-coat investments and the plant's safety programme. He holds a bachelor's degree in mechanical engineering and is a certified lean practitioner.



Priya Natarajan

Vice President, Engineering

Priya Natarajan joined Kalvorn in 2017 from a commercial HVAC manufacturer, where she led the gas-fired products engineering group, and was promoted to Vice President of Engineering in 2020. She is the named inventor on the KalvornRadiant mid-output emitter patent and led the BM-LP and KA-CX programmes. She holds bachelor's and master's degrees in mechanical engineering and is a licensed professional engineer.



Mark Rennard

Director of Supply Chain

Mark Rennard joined Kalvorn in 2015 from a regional steel service centre, where he was commercial manager. He is responsible for purchasing, materials planning, the distribution centre and the Country A warehouse, and he negotiated the consignment steel arrangement and the sourced portable-heater supply agreement. He holds a bachelor's degree in supply chain management and a professional purchasing certification.

4.2 Employees and Benefits

Kalvorn employed 210 people at February 28, 2026, of whom 70 are salaried and 140 hourly. The workforce is non-union and there has never been an organising attempt. The average hourly wage in manufacturing is $24.60 and the average tenure of hourly employees is 9.4 years; turnover among employees with more than one year of service was 6% in fiscal 2025. The Company supplements the hourly workforce with 20 to 35 seasonal temporary employees from June through November, drawn from a pool of returning workers, and expects to add approximately 25 permanent positions, mostly in assembly and customer service, over the plan period. Kalvorn is regarded as an employer of choice in its county and has been recognised for workplace safety by the state's department of labour in each of the last six years.

Fabrication, machining and finishing operate two shifts year-round; assembly operates one shift from January through June and two shifts from July through December; the distribution centre operates one extended shift with overtime in season. Office functions work a single day shift, with customer service staggered to cover dealer hours from 7:00 a.m. to 6:00 p.m. State A local time.

Headcount by function at February 28, 2026, excluding seasonal temporary employees, is shown below.

Function	Salaried	Hourly	Total
Senior management	8	-	8
Manufacturing and operations	14	128	142
Supply chain and warehouse	4	10	14
Sales	11	-	11
Customer and technical service	6	-	6
Marketing	4	-	4
Engineering	14	-	14
Finance and administration	6	2	8
Information technology	3	-	3
Total headcount	**70**	**140**	**210**

Exhibit 45: Employees by function as of February 28, 2026

Benefits include medical, dental and vision insurance with the Company paying approximately 78% of the premium, group life and disability insurance, a defined-contribution retirement savings plan with a 4% matching contribution, paid time off of two to five weeks depending on tenure, an annual profit-sharing bonus paid to all employees in each of the last eleven years, tuition reimbursement and a safety incentive programme.

Training and development are structured. New hourly employees complete a four-week onboarding programme that includes gas-appliance safety, test-fire certification and qualification on a first assembly line, and are cross-trained on a second line within their first year. The Company sponsors an apprenticeship with the regional technical college for fabrication and maintenance technicians, from which it has hired fourteen graduates since 2019, and it funds professional certifications for engineering, purchasing and finance staff. Management succession below the executive level is reviewed annually, and each functional leader has an identified successor or development plan.

4.3 Regulation, Environmental, Insurance, Warranty, Patents and Legal Matters

Regulation

Kalvorn's products are gas appliances subject to national and state-level safety standards across North America and to the equivalent standards in Europe and the other export markets. Each product is certified by an independent third-party certification laboratory before sale, and the certification bodies conduct quarterly factory inspections. The Company's in-house laboratory is accredited to conduct the relevant test protocols under witness. Management is not aware of any pending regulatory change that would require material redesign of the product line; forthcoming emissions and efficiency standards in Europe are expected to favour the Company's radiant products.

Environmental

The Company's operations are subject to customary air, water and waste regulations; the powder-coat line and wash system operate under a state air permit, and management is not aware of any environmental non-compliance or contamination at either facility.

Insurance

Kalvorn maintains general liability coverage of $2 million per occurrence and $4 million in aggregate, products and completed-operations coverage within those limits, a $10 million umbrella policy, property and business-interruption coverage on the leased facilities and their contents, workers' compensation, and cargo and credit coverage on export shipments. The insurance programme is placed by a regional broker and is reviewed annually.

Warranty

Products carry a twelve-month parts warranty from the date of installation, extended to twenty-four months on the heat exchanger of the indirect-fired lines, and dealers are reimbursed for warranty labour at a published schedule. Warranty expense has averaged 0.7% of net sales over the last four fiscal years and was 0.6% in fiscal 2025; the Company accrues warranty at the time of sale based on historical claim rates by product family.

Patents and trademarks

The Company holds two United States patents, filed in 2011 and 2020 and granted in 2013 and 2022, covering the BrooderMax high-pressure emitter and the KalvornRadiant mid-output emitter, with corresponding applications in other North American jurisdictions and in Europe. The KalvornAir, BrooderMax and KalvornRadiant marks and the Country A local-language mark are registered trademarks.

Legal matters

Kalvorn is not party to any litigation other than product-liability claims of the type ordinarily encountered by manufacturers of gas appliances, and management is not aware of any threatened claim that would be material to the business.

Product liability - Because heaters are gas-fired and operate in buildings that contain livestock, bedding and combustible materials, the Company receives a small number of claims each year, typically alleging that a heater caused a barn fire. Claims are investigated by the Company's engineers and its insurer's fire investigators; in the large majority of cases the cause is found to be a gas-supply, ventilation, maintenance or electrical issue unrelated to the heater. Kalvorn has never been found liable at trial. Claims are settled from time to time for nuisance value at the insurer's discretion, and the Company's self-insured retention is $50 thousand per claim. Average annual product-liability expense, including the retention and legal fees, has been approximately $190 thousand over the last five years, and the Company accrues a product-liability reserve that stood at $423 thousand at September 30, 2025.

5. Financial Information

5.1 Financial Overview

The financial information in this section is derived from the Company's internally prepared financial statements for the fiscal years ended September 30, 2022, 2023 and 2024, from the fiscal 2025 statements as reviewed by Audit Firm A, and from management's estimate for fiscal 2026, which comprises five months of actual results through February 28, 2026 and a forecast for the remaining seven months. The Company's fiscal year ends on September 30. Kalvorn is taxed as a partnership and its statements therefore contain no income tax provision. Adjusted figures exclude the addbacks described in Section 5.5. A quality of earnings report prepared by Audit Firm A will be available in the data room.

($ in thousands, fiscal years ended September 30)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	CAGR '22-'26E
Net sales	**$35,245**	**$38,240**	**$40,516**	**$42,624**	**$46,034**	**6.9%**
Cost of goods sold	23,240	25,026	26,224	28,098	29,922	6.5%
Gross profit	12,005	13,214	14,292	14,526	16,112	7.6%
Adjusted operating expenses, excluding D&A (1)	5,718	6,253	6,369	6,657	7,365	6.5%
Adjusted EBIT (2)	5,311	5,946	6,819	6,716	7,504	9.0%
Depreciation and amortization	976	1,015	1,104	1,153	1,243	
Adjusted EBITDA	**$6,287**	**$6,961**	**$7,923**	**$7,869**	**$8,746**	**8.6%**
Capital expenditures	1,058	1,032	1,116	1,175	1,289	
Net working capital (year-end)	4,535	5,102	5,053	5,128	5,668	
Operating ratios						
Net sales growth		8.5%	5.9%	5.2%	8.0%	
Gross profit margin	34.1%	34.6%	35.3%	34.1%	35.0%	
Adjusted operating expenses % of net sales	16.2%	16.4%	15.7%	15.6%	16.0%	
Adjusted EBIT margin	15.1%	15.5%	16.8%	15.8%	16.3%	
Adjusted EBITDA margin	17.8%	18.2%	19.6%	18.5%	19.0%	
Capital expenditures % of net sales	3.0%	2.7%	2.8%	2.8%	2.8%	

Exhibit 46: Summary income statements, fiscal 2022A - fiscal 2026E (repeated from Section 1.4)

Note: (1) Adjusted operating expenses exclude the addbacks described in Section 5.5. (2) Adjusted EBIT is Adjusted EBITDA less depreciation and amortisation and excludes amortisation of financing and transaction costs. Fiscal 2026E comprises five months of actuals and seven months of forecast.

Net sales have compounded at 5.2% per year since fiscal 2003, and the Company has grown through recessions and several mild winters while holding or gaining share in every domestic segment. The projection for fiscal 2027 through fiscal 2030, shown in the second table, is management's case and is the basis of the growth plan described in Section 1.3. It assumes: net sales growth decelerating from 8.0% in fiscal 2026 to 5.5% in fiscal 2030, driven by the market-level plans in Section 1.3; cost of goods sold declining from 65.0% to 64.4% of net sales as service parts and radiant products grow faster than the mix and as fixed overhead is absorbed; adjusted operating expenses declining from 16.0% to 15.6% of net sales as sales and marketing investments made in fiscal 2022 through 2026 are leveraged; depreciation of approximately 2.7% and capital expenditures of approximately 2.8% of net sales; and net working capital of 12-12.5% of net sales. The projections contain no acquisitions and no price increases beyond the pass-through of input costs.

($ in millions)	FY2026E	FY2027P	FY2028P	FY2029P	FY2030P
Net sales	$46.0	$49.3	$52.6	$55.7	$58.8
Growth	*8.0%*	*7.2%*	*6.5%*	*6.0%*	*5.5%*
Cost of goods sold	29.9	32.0	34.0	35.9	37.9
Gross profit	16.1	17.4	18.6	19.8	20.9
Gross margin	*35.0%*	*35.2%*	*35.4%*	*35.5%*	*35.6%*
Adjusted operating expenses	7.4	7.8	8.3	8.7	9.2
Adjusted EBITDA	**$8.7**	**$9.5**	**$10.3**	**$11.0**	**$11.8**
Adjusted EBITDA margin	*19.0%*	*19.3%*	*19.6%*	*19.8%*	*20.0%*
Depreciation and amortization	1.2	1.3	1.4	1.5	1.6
Adjusted EBIT (Adjusted EBITDA less depreciation)	7.5	8.2	8.9	9.5	10.2
Capital expenditures	1.3	1.4	1.5	1.6	1.6
Net working capital (year-end)	5.7	6.0	6.5	6.9	7.3
Adjusted EBITDA less capital expenditures	7.5	8.1	8.8	9.5	10.1

Exhibit 47: Management projections, fiscal 2026E - fiscal 2030P ($ in millions) (repeated from Section 1.4)

Three features of the record deserve emphasis. First, growth has been broad-based: every market except the small hospitality and greenhouse category has grown since fiscal 2022, and the fastest-growing markets - Country A, poultry and service parts - are also the highest-margin. Second, pricing has contributed roughly 4% per year to growth through the period as the Company passed through steel and component inflation with a lag of one to two quarters, so that gross margin, which dipped to 34.1% in fiscal 2025 when cost increases ran ahead of the October price list, is expected to recover to 35.0% in fiscal 2026. Third, the Company has increased operating expenses deliberately since fiscal 2022 - the construction sales manager, the Country A staff, two engineers and the ERP subscription - and the projections assume that this investment is now largely complete and is leveraged as net sales grow. The long-term net sales chart on the following page repeats the record shown in Section 1.1 for reference alongside the detailed financial information that follows.

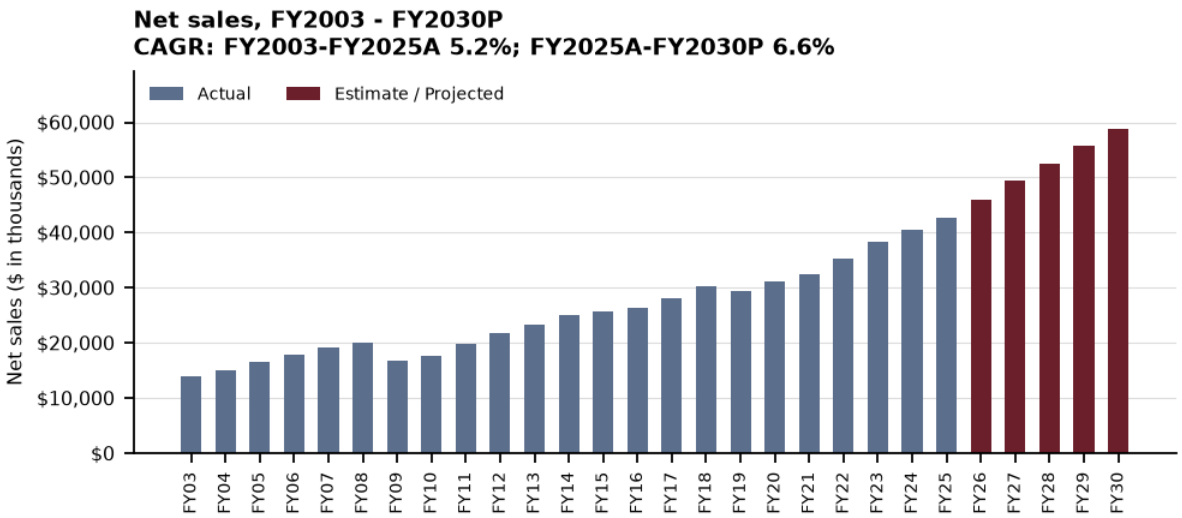


Exhibit 48: Net sales, fiscal 2003 - fiscal 2030P ($ in thousands) (repeated from Section 1.1)

Quality of earnings and basis of presentation

Audit Firm A has been engaged to prepare a quality of earnings report for the three fiscal years ended September 30, 2025 and the trailing twelve months to the latest month-end before second-round bids, which will be available in the data room. Prospective purchasers should note the following matters of presentation. Revenue is recognised on shipment, with pre-season programme discounts recorded as a reduction of net sales in the month of shipment and representative commissions recorded in selling expense; the quality of earnings work has confirmed a clean cut-off at each year-end. Inventory is carried at standard cost, with standards reset each October and variances expensed as incurred; the quality of earnings work has capitalised year-end variances of less than $40 thousand in each year, which is not reflected here. Warranty and product-liability reserves are accrued on historical claim rates and were found adequate. The Company is taxed as a partnership; a buyer that elects corporate tax status should model income taxes at the applicable rate. Rent to the related-party landlord is included at the market rate agreed in October 2025 in the fiscal 2026 estimate and the projections, and the historical excess is added back as described in Section 5.5. Owner compensation is normalised to market. No pro forma adjustments have been made for the run-rate benefit of the fiscal 2025 price increase, the Integrator A programme or the KA-CX line extensions, each of which a purchaser may wish to consider.

5.2 Net Sales by Market

Kalvorn reports net sales in seven markets defined by geography or industry: North American swine, North American poultry, construction and rental, Country A agriculture, rest-of-world agriculture (Europe, Eurasia, Latin America, Southeast Asia and Australasia), service parts (all markets) and other (hospitality and greenhouse). Net sales are stated after dealer discounts, pre-season programme discounts, representative commissions and freight allowances. The table below presents net sales by market for fiscal 2022 through fiscal 2026E, followed by a discussion of the principal year-over-year variances in each market.

($ in thousands)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E
North American Swine	$11,173	$11,816	$12,195	$12,617	$13,350
North American Poultry	6,838	7,763	8,670	8,908	9,805
Construction & Rental	6,027	6,348	6,604	7,246	7,918
Country A Agriculture	1,621	2,103	2,471	2,984	3,637
Rest of World Agriculture	2,150	2,180	2,390	2,685	2,854
Service Parts	4,018	4,436	4,781	5,115	5,570
Other (Hospitality & Greenhouse)	3,418	3,594	3,405	3,069	2,900
Total net sales	**$35,245**	**$38,240**	**$40,516**	**$42,624**	**$46,034**
% of total net sales					
North American Swine	31.7%	30.9%	30.1%	29.6%	29.0%
North American Poultry	19.4%	20.3%	21.4%	20.9%	21.3%
Construction & Rental	17.1%	16.6%	16.3%	17.0%	17.2%
Country A Agriculture	4.6%	5.5%	6.1%	7.0%	7.9%
Rest of World Agriculture	6.1%	5.7%	5.9%	6.3%	6.2%
Service Parts	11.4%	11.6%	11.8%	12.0%	12.1%
Other (Hospitality & Greenhouse)	**9.7%**	**9.4%**	**8.4%**	**7.2%**	**6.3%**
Total	100.0%	100.0%	100.0%	100.0%	100.0%

Exhibit 49: Net sales by market, fiscal 2022A - fiscal 2026E ($ in thousands)

North American swine

Swine net sales grew 5.8% in fiscal 2023 on a large renovation programme by a Midwestern cooperative and on price increases of approximately 5%, 3.2% in fiscal 2024 as the programme completed and a mild winter reduced replacement demand, and 3.5% in fiscal 2025 on the launch of the redesigned KA-250 and a return to normal weather. Fiscal 2026 is expected to grow 5.8% as the KA-250 completes its first full season and pre-season orders ran 7% ahead of the prior year. Management expects the swine market to grow at 1-2% per year over the plan period, with Kalvorn's share stable.

North American poultry

Poultry net sales grew 13.5% in fiscal 2023 and 11.7% in fiscal 2024 as the BM-LP launch and two new integrator specifications drove share gains, then 2.7% in fiscal 2025 as a large integrator paused new construction ahead of the Integrator A programme. Fiscal 2026 is expected to grow 10.1% with the first Integrator A deliveries and two additional specifications. Management expects integrator new-house construction to moderate in fiscal 2027 and 2028 before recovering, with share gains sustaining growth through the period.

Construction and rental

Construction and rental net sales grew 5.3% in fiscal 2023 as the national-account programmes and pre-season fleet orders took effect, 4.0% in fiscal 2024 despite a warm winter that left rental chains with high fleet utilisation headroom and a downturn in energy-related construction in the northern North American market, and 9.7% in fiscal 2025 on the first full year of the KA-CX and a cold winter in the northern states. Fiscal 2026 is expected to grow 9.3% with a full year of Rental Customer B's fleet programme and the two additional KA-CX sizes late in the year.

Country A agriculture

Country A net sales grew 29.7% in fiscal 2023, 17.5% in fiscal 2024 and 20.8% in fiscal 2025 as the bonded warehouse, the local brand and the second anchor integrator took effect and the solid-fuel-to-gas mandate widened. Sales are project-driven and can vary by quarter with integrator construction schedules; the fiscal 2026 estimate of $3.6 million reflects 31 identified projects of which 19 were confirmed at February 28, 2026.

Rest-of-world agriculture

Rest-of-world agricultural net sales were broadly flat in fiscal 2023 as growth in Southeast Asia and Australasia offset lower sales in Eurasia, then grew 9.6% in fiscal 2024 and 12.3% in fiscal 2025 on the Southeast Asian integrator win, the BM-LP's European certification and opportunistic sales to a United States competitor for resale in Latin America. Fiscal 2026 growth of 6.3% reflects distributor expansion in Australasia.

Service parts

Service parts net sales have grown in every year of the period, at 8.4% per year through fiscal 2025, driven by growth of the installed base, the genuine-parts programme and annual price increases of 3-5%. Parts demand is less seasonal and less weather-sensitive than equipment demand, although a cold winter increases the following spring's rebuild activity.

Other (hospitality and greenhouse)

Other net sales, which comprise tent heaters sold to the event-rental market and greenhouse heaters sold through horticultural distributors, declined from $3.6 million in fiscal 2023 to $3.1 million in fiscal 2025 as a large event-rental fleet renewal completed and the torch line was wound down. The Company does not dedicate sales resources to these markets, which are served through the representative network; the plan holds tent-heater volume flat and winds down the greenhouse line from fiscal 2027 as its principal horticultural-distributor agreement expires, taking the category to approximately $2.1 million by fiscal 2030 (Section 1.3).

5.3 Cost of Goods Sold and Gross Profit

Cost of goods sold comprises material, direct labour and manufacturing overhead at standard cost, plus purchase-price, usage and labour variances and other costs of goods sold, which include inbound freight, warranty expense, inventory reserve movements and the cost of the sourced portable-heater line above standard. Depreciation on manufacturing equipment is included in overhead.

($ in thousands)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E
Material	$15,710	$16,792	$17,413	$18,910	$20,018
Direct labor	2,975	3,278	3,488	3,681	3,920
Manufacturing overhead	3,811	4,154	4,458	4,692	5,087
Cost of goods sold at standard	22,496	24,224	25,359	27,283	29,025
Variances	325	325	315	309	329
Other cost of goods sold	419	477	550	506	568
Total cost of goods sold	**23,240**	**25,026**	**26,224**	**28,098**	**29,922**
Gross profit	**$12,005**	**$13,214**	**$14,292**	**$14,526**	**$16,112**
Gross profit margin	*34.1%*	*34.6%*	*35.3%*	*34.1%*	*35.0%*
% of net sales					
Material	44.6%	43.9%	43.0%	44.4%	43.5%
Direct labor	8.4%	8.6%	8.6%	8.6%	8.5%
Manufacturing overhead	10.8%	10.9%	11.0%	11.0%	11.1%
Cost of goods sold at standard	63.8%	63.3%	62.6%	64.0%	63.1%
Variances	0.9%	0.8%	0.8%	0.7%	0.7%
Other cost of goods sold	1.2%	1.2%	1.4%	1.2%	1.2%
Total cost of goods sold	65.9%	65.4%	64.7%	65.9%	65.0%

Exhibit 50: Cost of goods sold and gross profit, fiscal 2022A - fiscal 2026E ($ in thousands)

Raw materials

Material is roughly two-thirds of cost of goods sold and is dominated by steel, purchased components and the sourced portable line. Steel is bought on quarterly contracts and held on consignment at the service centre, so the Company owns approximately six weeks of steel rather than the four months it carried before fiscal 2021. Material as a percentage of net sales rose in fiscal 2025 to 44.4% as component cost inflation ran ahead of the price increase and the mix shifted toward the sourced portable line; the fiscal 2026 estimate of 43.5% reflects the October 2025 price increase, the redesigned KA-250's lower part count and a favourable mix of service parts. The projections assume material declines a further 30 basis points by fiscal 2030 on mix.

Labour

Direct labour is 8.6% of net sales, reflecting the modular designs and the productivity of the automated fabrication equipment. Hourly wages are increased annually by 3-4%, and the projections assume labour remains approximately 8.5-8.7% of net sales as volume growth absorbs the increases.

Overhead

Manufacturing overhead comprises indirect labour, supervision, plant utilities, maintenance, depreciation on manufacturing equipment, rent on the plant and distribution centre and consumable supplies. Overhead rose as a percentage of net sales in fiscal 2024 with the depreciation of the fiscal 2023 and 2024 equipment additions and the full-year rent on the distribution centre, and is expected to decline over the plan period as volume grows against a largely fixed base.

5.4 Adjusted Operating Expenses

Adjusted operating expenses are presented by function below, after the addbacks described in Section 5.5.

($ in thousands)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E
Selling	$1,933	$2,132	$2,140	$2,257	$2,504
Marketing	497	557	573	606	678
Engineering	749	807	847	892	994
Administrative (1)	2,539	2,757	2,809	2,902	3,189
Total adjusted operating expenses	**$5,718**	**$6,253**	**$6,369**	**$6,657**	**$7,365**
% of net sales					
Selling	5.5%	5.6%	5.3%	5.3%	5.4%
Marketing	1.4%	1.5%	1.4%	1.4%	1.5%
Engineering	2.1%	2.1%	2.1%	2.1%	2.2%
Administrative	7.2%	7.2%	6.9%	6.8%	6.9%
Total adjusted operating expenses	**16.2%**	**16.4%**	**15.7%**	**15.6%**	**16.0%**

Exhibit 51: Adjusted operating expenses, fiscal 2022A - fiscal 2026E ($ in thousands)

Note: (1) Administrative expenses exclude owner compensation in excess of market, one-time ERP implementation costs, the non-recurring legal settlement, sale-process expenses, discontinued-line costs and the related-party rent normalisation described in Section 5.5.

Selling

Selling expense comprises the salaries, commissions, travel and vehicle costs of the eleven-person sales organisation, the Country A in-country employees, representative commissions on national accounts and dealer training clinics. It rose 10.3% in fiscal 2023 with the appointment of the national construction sales manager and the Southeast Asian distributor programme, was flat in fiscal 2024, and rose 5.5% in fiscal 2025 with the addition of the Country A technical sales engineer and higher commissions on national-account volume. Fiscal 2026 includes a full year of the second Country A employee and the poultry integrator programme.

Marketing

Marketing expense comprises the four-person team, trade shows, literature, website and video production, and dealer programme costs. The increase in fiscal 2023 reflects the local-language brand launch in Country A and the BM-LP launch; expense has since grown with trade-show participation and the KA-CX launch and is planned to hold at approximately 1.4% of net sales.

Engineering

Engineering expense comprises the fourteen-person department, laboratory operating costs, certification fees and prototype materials, and excludes engineering time charged to cost-reduction projects in cost of goods sold. It grew with the KA-CX and BM-LP programmes and with two engineering hires in fiscal 2025, and is planned to grow modestly below the rate of net sales.

Administrative

Administrative expense comprises executive and finance salaries at market rates, human resources, information technology, insurance, professional fees, bank charges, bad-debt expense and office costs. It rose 8.6% in fiscal 2023 with the profit-sharing bonus on a record year and a cyber-insurance addition, and modestly in fiscal 2024 and 2025 with salary increases, the ERP subscription (which replaced the depreciated legacy system) and higher audit fees on the move to reviewed statements. The fiscal 2026 estimate includes a full year of the ERP subscription and two finance hires. Owner compensation is included at a market rate of $310 thousand per year for each of the two active family executives; the excess actually paid is added back in Section 5.5.

5.5 Addbacks and Adjustments

The table below reconciles reported EBITDA, as derived from the Company's financial statements, to Adjusted EBITDA for each historical fiscal year. Six categories of adjustment are made, each described below. No adjustments are made to the fiscal 2026 estimate or to the projections; owner compensation is included in those periods at the market rate.

($ in thousands)	FY2022A	FY2023A	FY2024A	FY2025A
Reported EBITDA	$5,900	$6,614	$7,605	$7,608
Owner compensation in excess of market	210	215	180	150
ERP implementation (one-time)	-	96	112	-
Non-recurring legal settlement	118	-	-	-
Sale-process advisory and transaction expenses	-	-	-	84
Discontinued torch line wind-down	59	36	26	-
Related-party rent normalisation	-	-	-	27
Total addbacks and adjustments	**387**	**347**	**318**	**261**
Adjusted EBITDA	**$6,287**	**$6,961**	**$7,923**	**$7,869**
Adjusted EBITDA margin	*17.8%*	*18.2%*	*19.6%*	*18.5%*

Exhibit 52: Addbacks and adjustments, fiscal 2022A - fiscal 2025A ($ in thousands)

Owner compensation in excess of market

Thomas Marlbeck and Gregory Marlbeck have historically drawn salaries and bonuses above the market rate for their roles, in part to fund the purchase of membership interests from a retiring passive member between fiscal 2019 and fiscal 2023. The adjustment adds back the excess of actual compensation over the $310 thousand per year that management and Ostrelle Partners consider a market rate for each role; the excess has declined each year as the share purchases completed. Anne Marlbeck-Holt's compensation is at market and is not adjusted.

ERP implementation

The Company incurred one-time consulting, data-migration, training and parallel-running costs of $208 thousand over fiscal 2023 and 2024 to implement the ERP system, which went live in October 2023. The ongoing subscription cost is included in administrative expense.

Non-recurring legal settlement

In fiscal 2022 the Company settled a commercial dispute with a former distributor in Eurasia over termination of its distribution agreement. The settlement and associated legal fees of $118 thousand are added back; no similar matter has arisen before or since.

Sale-process advisory and transaction expenses

Fiscal 2025 administrative expense includes $84 thousand of legal, accounting and advisory fees incurred in preparing for the sale process, including the move to reviewed financial statements. These costs are non-recurring.

Discontinued torch line wind-down

The Company decided in fiscal 2021 to exit the hand-held propane torch line, a low-margin product sold through hardware channels. Inventory write-downs, tooling disposals and the final production run's below-standard margin totalled $121 thousand over fiscal 2022 to 2024 and are added back; the line's remaining net sales are immaterial.

Related-party rent normalisation

The lease with the family real-estate entity was reset to a market rent of $1.14 million per year in October 2025 following an independent appraisal. Fiscal 2025 rent exceeded the new market rent by $27 thousand, which is added back; the fiscal 2026 estimate and the projections include rent at the market rate. A buyer that prefers to purchase the real estate would replace the rent with the corresponding ownership costs.

5.6 Capital Expenditures

Capital expenditures are classified by management as growth, which adds capacity or capability, or maintenance, which sustains existing equipment and facilities. The table below presents both for fiscal 2022 through fiscal 2026E.

($ in thousands)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E
Growth	$546	$484	$533	$564	$634
Maintenance	512	548	583	611	655
Total capital expenditures	**$1,058**	**$1,032**	**$1,116**	**$1,175**	**$1,289**
Total as % of net sales	*3.0%*	*2.7%*	*2.8%*	*2.8%*	*2.8%*
Maintenance as % of net sales	*1.5%*	*1.4%*	*1.4%*	*1.4%*	*1.4%*

Exhibit 53: Capital expenditures, fiscal 2022A - fiscal 2026E ($ in thousands)

Growth capital expenditures

Growth spending of $546 thousand in fiscal 2022 comprised the roll former, the second press brake and the Country A warehouse fit-out; $484 thousand in fiscal 2023 the ERP hardware, the second robotic welding cell and BM-LP tooling; $533 thousand in fiscal 2024 the powder-coat oven, KA-CX tooling and dealer-portal development; and $564 thousand in fiscal 2025 the KA-250 redesign tooling, an additional CNC machining centre and laboratory instrumentation. Fiscal 2026 growth spending of $634 thousand covers KA-CX 400 and KA-CX 80 tooling, a third brooder assembly station and distribution-centre racking. Together these investments increased demonstrated capacity by approximately 40% since fiscal 2020, and management projects total capital expenditures of approximately 2.8% of net sales over the plan period, of which roughly half is growth.

Maintenance capital expenditures

Maintenance spending comprises the replacement of forklifts, compressors, tooling, computers and vehicles and the periodic refurbishment of machine tools, and has run at 1.4% of net sales. Management expects maintenance spending of $650 to $750 thousand per year over the plan period. Building maintenance is the landlord's responsibility under the lease.

5.7 Balance Sheets and Working Capital

Condensed balance sheets at the last two fiscal year-ends and at December 31, 2025 are presented below. The Company distributes cash to its members for taxes and as dividends, and finances the seasonal inventory build with a revolving line, so cash balances are low and borrowing peaks in October and November, when the pre-season inventory and receivable build is at its height, and is largely repaid by the December quarter-end as pre-season receivables are collected. Funded debt of $6.8 million at December 31, 2025, down from $7.2 million at September 30, 2025, will be repaid at closing, and the transaction is proposed on a cash-free, debt-free basis with a normalised level of net working capital. The Company has no goodwill, intangible assets or off-balance-sheet obligations other than the facility lease.

As of	Sep 30, 2024	Sep 30, 2025	Dec 31, 2025
Assets			
Cash and cash equivalents	$412	$641	$100
Accounts receivable, net	4,841	5,092	5,241
Inventories, net	4,502	4,706	4,912
Prepaid expenses and advances	531	560	618
Other current assets	148	167	187
Total current assets	**10,434**	**11,166**	**11,058**
Net property, plant and equipment	9,827	9,849	9,874
Total assets	**$20,261**	**$21,015**	**$20,932**
Liabilities and members' equity			
Accounts payable	$2,088	$2,403	$2,538
Accrued compensation and expenses	2,238	2,286	2,412
Accrued product liability	430	423	431
Other accrued liabilities	213	285	266
Total current liabilities	**4,969**	**5,397**	**5,647**
Total debt (term loan and revolving line)	7,914	7,180	6,842
Total liabilities	**12,883**	**12,577**	**12,489**
Members' equity	7,378	8,438	8,443
Total liabilities and members' equity	**$20,261**	**$21,015**	**$20,932**

Exhibit 54: Condensed balance sheets ($ in thousands)

Accounts receivable

Standard terms are net 30 days for dealers and distributors and net 45 days for integrators and national accounts; pre-season orders carry extended terms to November 30. Days sales outstanding, measured on year-end receivables, were 43.6 at September 30, 2025 and have improved from 45.8 in fiscal 2022 with the dealer portal and tighter pre-season credit review. The bad-debt reserve was $96 thousand at September 30, 2025 and write-offs have averaged less than 0.1% of net sales; export shipments outside North America are covered by credit insurance or letters of credit.

Inventory

Inventory comprises approximately 30% raw material and purchased components, 12% work in process, 38% finished heaters and 20% service parts, and is stated at the lower of standard cost or net realisable value with a reserve for slow-moving and obsolete items of $214 thousand at September 30, 2025. Slow-moving stock is reviewed quarterly by product family. Days inventory on hand were 61.1 at September 30, 2025; inventory turns approximately six times per year on cost of goods sold, peaks in October at roughly 25% above the September 30 level as the pre-season programme is built, and is back within 5% of year-end by December 31 once the programme has shipped ($4.9 million at December 31, 2025 against $4.7 million at September 30, 2025).

Accounts payable

Suppliers are paid on terms of net 30 to net 45 days, and the Company takes prompt-payment discounts where offered, principally on steel and motors. Days payable outstanding were 31.2 at September 30, 2025, up from 29.1 a year earlier as component suppliers extended terms in exchange for blanket orders. The net working capital schedule below is drawn from the same balances as the Company's year-end statements and from management's fiscal 2026 estimate.

($ in thousands)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E
Accounts receivable	$4,427	$4,758	$4,841	$5,092	$5,612
Inventories	3,827	4,384	4,502	4,706	5,083
Prepaid expenses and advances	483	470	531	560	598
Other current assets	138	158	148	167	184
Net working assets	**8,875**	**9,770**	**10,022**	**10,525**	**11,478**
Accounts payable	$1,881	$2,016	$2,088	$2,403	$2,541
Accrued expenses	1,910	2,059	2,238	2,286	2,532
Accrued product liability	339	375	430	423	460
Other current liabilities	210	218	213	285	276
Net working liabilities	**4,340**	**4,668**	**4,969**	**5,397**	**5,810**
Net working capital	**$4,535**	**$5,102**	**$5,053**	**$5,128**	**$5,668**
Net working capital % of net sales	*12.9%*	*13.3%*	*12.5%*	*12.0%*	*12.3%*
Days sales outstanding	*45.8*	*45.4*	*43.6*	*43.6*	*44.5*
Days inventory on hand (on COGS)	*60.1*	*63.9*	*62.7*	*61.1*	*62.0*
Days payable outstanding (on COGS)	*29.5*	*29.4*	*29.1*	*31.2*	*31.0*

Exhibit 55: Net working capital, fiscal 2022A - fiscal 2026E ($ in thousands, at September 30)

Seasonality

Orders peak between August and December as pre-season programmes ship; approximately 60% of equipment net sales fall in the first two fiscal quarters. Inventory is built from June and the pre-season programme ships from August; receivables peak in October and November under pre-season terms that fall due on November 30, so net working capital typically exceeds the September 30 level by $1.0 to $1.5 million in October and November and has largely unwound by December 31 as those receivables are collected and the revolving line repaid. The chart below shows fiscal 2026 by month (five months actual, seven estimated): the November 2025 peak of $6,530 thousand compares with $5,311 thousand at December 31, 2025 (the interim balance sheet above), a fiscal-year average of $5,439 thousand and $5,668 thousand at September 30, 2026. The normalised working-capital target will reflect this seasonality.

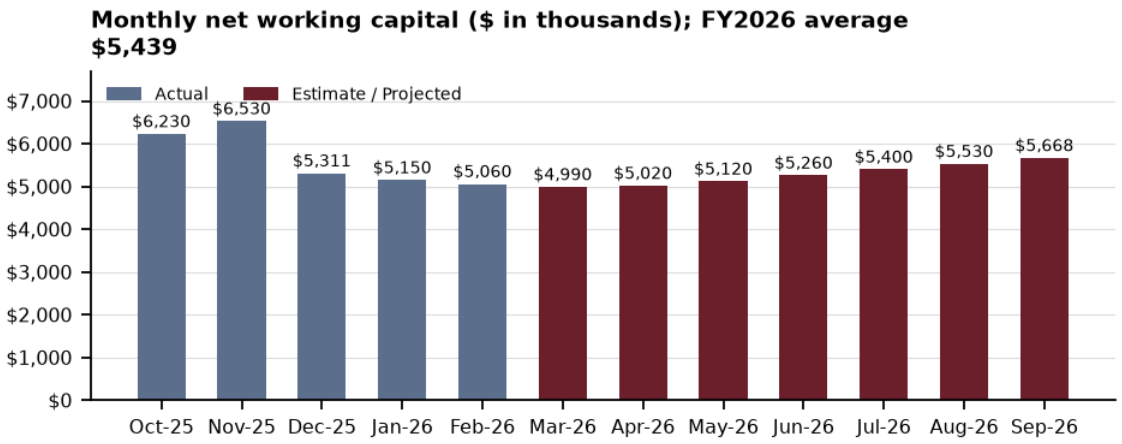


Exhibit 56: Monthly net working capital, fiscal 2026E ($ in thousands)

Cash flow and distributions

Kalvorn's cash generation is a function of its margins, low capital intensity and disciplined working capital. Adjusted EBITDA less capital expenditures totalled $6.7 million in fiscal 2025 and $24.7 million cumulatively over fiscal 2022 to 2025, and the increase in net working capital over the same four years was only $0.6 million despite net sales growth of $7.4 million. The members have drawn distributions for their tax obligations and for dividends of approximately $3.5 to $4.5 million per year and have used the remainder to fund the capital programme and to reduce funded debt from $9.6 million at its fiscal 2021 peak to $6.8 million at December 31, 2025. The projections in Section 5.1 imply cumulative Adjusted EBITDA less capital expenditures of $44.0 million over fiscal 2026 to 2030 before taxes, interest and working capital investment of $2.2 million.

6. Appendix

6.1 Quarterly Financial Detail

The tables below present quarterly income statement detail for fiscal 2024 and fiscal 2025 and the quarterly build of the fiscal 2026 estimate, in which the first two quarters are actual (the second quarter comprising January and February actuals and a March forecast) and the third and fourth quarters are forecast. Quarterly figures are derived from the Company's monthly management accounts and are unaudited; they reconcile to the annual figures presented in Section 5. Adjusted EBITDA excludes the addbacks described in Section 5.5, which are allocated to the quarter in which the underlying cost was incurred.

($ in thousands)	Q1 (Oct-Dec)	Q2 (Jan-Mar)	Q3 (Apr-Jun)	Q4 (Jul-Sep)	FY2024A total
Net sales	$12,600	$11,669	$6,807	$9,440	$40,516
Cost of goods sold	8,051	7,538	4,574	6,061	26,224
Gross profit	4,549	4,131	2,233	3,379	14,292
Gross margin	*36.1%*	*35.4%*	*32.8%*	*35.8%*	*35.3%*
Adjusted operating expenses	1,567	1,605	1,586	1,611	6,369
Adjusted EBITDA	**$2,982**	**$2,526**	**$647**	**$1,768**	**$7,923**
Adjusted EBITDA margin	*23.7%*	*21.6%*	*9.5%*	*18.7%*	*19.6%*
Depreciation and amortization	276	276	276	276	1,104
Capital expenditures	246	301	346	223	1,116
Net sales % of fiscal year	*31.1%*	*28.8%*	*16.8%*	*23.3%*	*100.0%*

Exhibit 57: Quarterly income statement detail, FY2024A

($ in thousands)	Q1 (Oct-Dec)	Q2 (Jan-Mar)	Q3 (Apr-Jun)	Q4 (Jul-Sep)	FY2025A total
Net sales	$13,128	$12,404	$7,289	$9,803	$42,624
Cost of goods sold	8,546	8,149	4,978	6,425	28,098
Gross profit	4,582	4,255	2,311	3,378	14,526
Gross margin	*34.9%*	*34.3%*	*31.7%*	*34.5%*	*34.1%*
Adjusted operating expenses	1,651	1,671	1,644	1,691	6,657
Adjusted EBITDA	**$2,931**	**$2,584**	**$667**	**$1,687**	**$7,869**
Adjusted EBITDA margin	*22.3%*	*20.8%*	*9.2%*	*17.2%*	*18.5%*
Depreciation and amortization	288	288	288	289	1,153
Capital expenditures	258	317	364	236	1,175
Net sales % of fiscal year	*30.8%*	*29.1%*	*17.1%*	*23.0%*	*100.0%*

Exhibit 58: Quarterly income statement detail, FY2025A

($ in thousands)	Q1 (Oct-Dec)	Q2 (Jan-Mar)	Q3 (Apr-Jun)	Q4 (Jul-Sep)	FY2026E total
Net sales	$14,224	$13,350	$7,780	$10,680	$46,034
Cost of goods sold	9,146	8,651	5,220	6,905	29,922
Gross profit	5,078	4,699	2,560	3,775	16,112
Gross margin	*35.7%*	*35.2%*	*32.9%*	*35.3%*	*35.0%*
Adjusted operating expenses	1,819	1,841	1,834	1,872	7,365
Adjusted EBITDA	**$3,259**	**$2,858**	**$726**	**$1,903**	**$8,746**
Adjusted EBITDA margin	*22.9%*	*21.4%*	*9.3%*	*17.8%*	*19.0%*
Depreciation and amortization	311	311	311	310	1,243
Capital expenditures	284	348	400	257	1,289
Net sales % of fiscal year	*30.9%*	*29.0%*	*16.9%*	*23.2%*	*100.0%*

Exhibit 59: Quarterly income statement detail, FY2026E (Q1-Q2 actual, Q3-Q4 forecast)

Note: Quarterly figures are rounded independently to the nearest $1 thousand; the annual column is as presented in Section 5, so an individual line may differ from the sum of its quarters by $1 thousand.

Seasonality is evident in each year: the first and second fiscal quarters together carry approximately 60% of net sales and a higher share of Adjusted EBITDA because operating expenses are largely fixed, while the third quarter, which falls in the spring off-season, is the smallest and carries the lowest margin. The fourth quarter benefits from pre-season shipments in August and September. Management's fiscal 2026 estimate follows the historical pattern, and the two quarters of actuals were slightly ahead of the corresponding prior-year quarters.

6.2 Glossary

Term	Definition
Adjusted EBITDA	Earnings before interest, taxes, depreciation and amortization, adjusted for the addbacks described in Section 5.5
Adjusted operating expenses	Selling, marketing, engineering and administrative expenses after the addbacks described in Section 5.5
Brooder	A radiant heater suspended over the floor of a poultry house to warm chicks during the first weeks of life
Btu/h	British thermal units per hour; the standard measure of a heater's output
CAGR	Compound annual growth rate
Capture rate	The share of replacement-part demand from the installed base that is filled with genuine Kalvorn parts
Confinement building	An enclosed, environmentally controlled barn or house in which swine or poultry are raised
Contract grower	A farmer who raises animals owned by an integrator in the grower's own buildings under a production contract
Direct-fired / indirect-fired	Heaters that release combustion products into the heated space / heaters that vent them outside through a heat exchanger
Fiscal year	The Company's financial year ending September 30; FY2025A refers to the year ended September 30, 2025
Integrator	A vertically integrated poultry or swine producer that owns the animals, feed and processing and contracts with growers
Installed base	Management's estimate of the number of Kalvorn heaters in service
Net sales	Gross sales less dealer and pre-season discounts, representative commissions and freight allowances
Net working capital	Accounts receivable, inventories, prepaid and other current assets less accounts payable, accrued expenses, accrued product liability and other current liabilities
Pre-season programme	Discount and extended-terms programme for dealer orders placed between April and July for delivery before the heating season
Radiant tube heater	A gas-fired heater that radiates from a long steel tube fitted with a reflector
Regional sales manager (RSM)	A Kalvorn sales employee responsible for a geographic territory and its dealers, contractors and integrators
Representative (rep)	An independent manufacturers' representative agency selling Kalvorn products on commission in the construction and hospitality markets
Service parts	Genuine replacement parts and accessories sold for the maintenance and rebuild of Kalvorn heaters
Set point	The target temperature for a livestock building at a given stage of the animals' growth

Exhibit 60: Glossary of terms used in this memorandum

6.3 Advisor Contacts

All enquiries regarding the Company, this memorandum and the process should be directed to the Ostrelle Partners deal team listed below. Under no circumstances should the Company, its members, employees, customers, suppliers or advisors be contacted directly.

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